H&Z Bull’s Eye Levers

Glossary

Definitions

- **Bull's Eye:** an H&Z standardized framework and logic that facilitates the mutual discussion between sourcing teams and business partners (cost center owners) regarding value creation, resilience and sustainability potentials along different optimization areas (Demand, Specification, Sourcing, and Execution).

- **Lever**: an action that leads to the successful achievement of a potential.. These actions can be classified into three main focus areas depending on the desired potential or impact (a lever can impact one or multiple focus areas simultaneously):
  - **Value Creation** levers lead to decreases in costs.
  - **Sustainability** levers lead to improvements in environmental, social or governance performance and supports ESRS reporting.
  - **Resilience** levers improve the supply performance.

- **Optimization areas**: levers are grouped into four optimization areas:
  - Demand: Improves planning, ordering, and handling quantities of products and services
  - Specifications: challenges product design and its functionalities
  - Sourcing: assesses the strategies of identifying and procuring products and services
  - Execution: focuses on process design and implementation

- **Clusters**: in each optimization area, levers are further classified in 8 MECE (mutually exclusive and collectively exhaustive) clusters:
  - Demand
    - Demand Management
    - Forecasting and Planning
  - Specification
    - Cost Value Engineering (CVE)
    - Innovation
  - Sourcing
    - Value Chain and Sourcing (VC and Sourcing)
    - Negotiations
  - Execution
    - Finance and Supply Chain Processes (F&SC Processes)
    - Environmental, Social, Governance

- **Measures / Tools / Activities**: specific sub-actions, methods and/or processes to execute a lever successfully. Multiple measures/ tools/ activities can be carried out or implemented to achieve the potential of a lever.

- **Impact / Potential:** the expected outcome of implementing a lever successfully.

- **Approach**: high-level process description to implement lever.

- **Implementation timeline:** expected period to fully implement a lever as described in the approach. The following scales are assumed throughout this document:
  - Short-term: < 6 months
  - Mid-term: 6-12 months
  - Long-term: >12 months

Glossary

Definitions

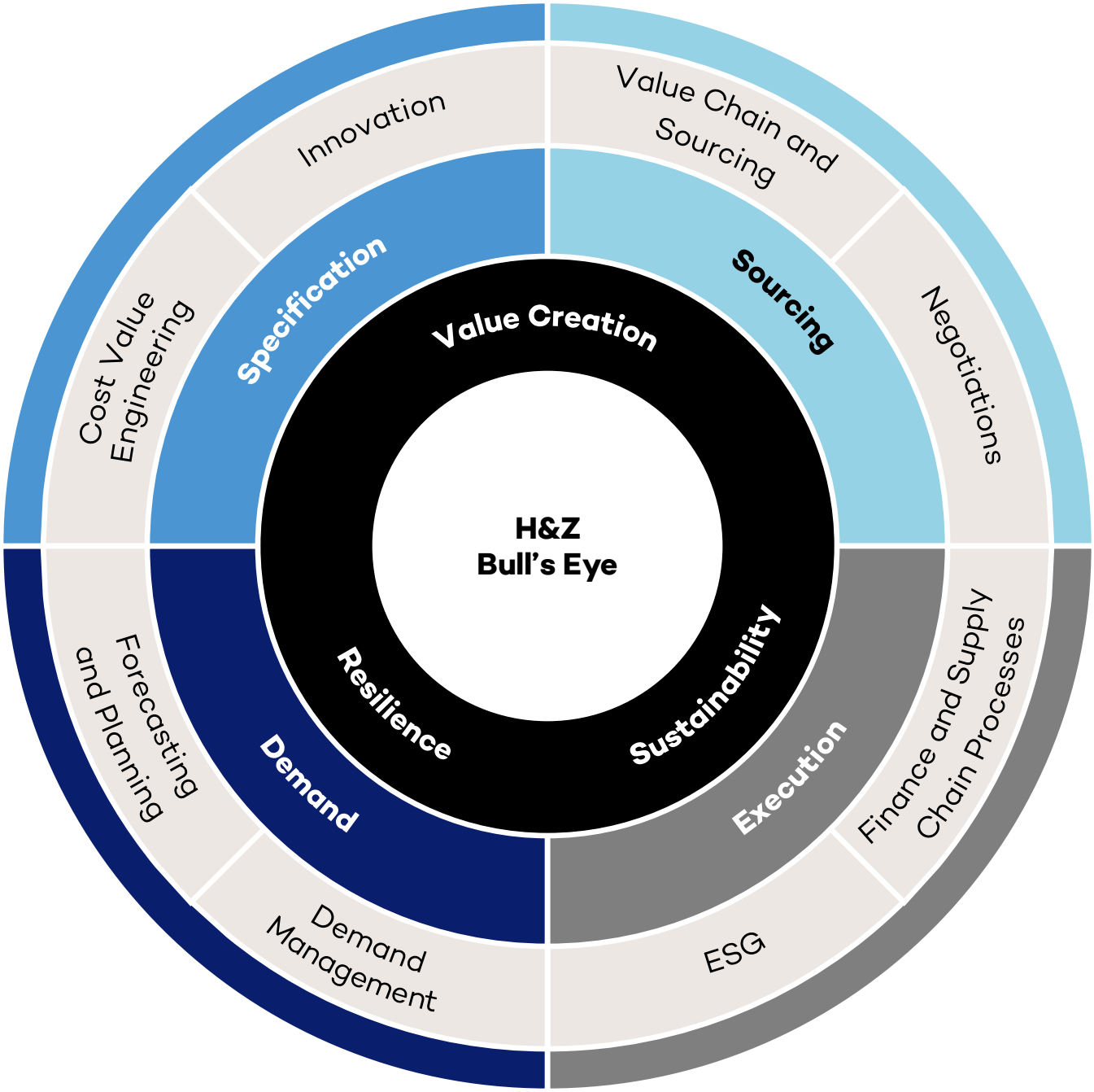
- **KPI**: a metric used to assess the effectiveness of actions taken.

- **Value Creation KPIs**
  - PPC – Purchasing Price Change
    - Tracks the change in purchase prices over time. It measures how effectively procurement is negotiating and securing better pricing from suppliers (lower price for same goods/services).
  - MCP – Material Cost Productivity
    - Measures how efficiently the procurement team is reducing material costs relative to the company's output or sales growth (material efficiency).
  - VAM – Value Added Measures
    - Evaluates the additional value generated by procurement activities beyond basic cost savings. (additional service for same price). It could include innovation, supplier development, risk mitigation, or sustainability achievements.
  - CTG – Contribution to Growth
    - Measures procurement's direct impact on company revenue growth. It reflects how sourcing strategies support business expansion through cost efficiency, faster time-to-market, or enabling new product launches.
  - ANR – Advanced Negotiation Results
    - Measures the outcomes of strategic negotiations that go beyond basic cost reductions, including factors like contract flexibility, improved payment terms, service-level agreements (SLAs), or long-term partnership benefits.

- **Sustainability KPIs**
  - CO2e
    - Measures progress in reducing direct and indirect carbon dioxide equivalent emissions.
  - Circularity Rating
    - Measures repairability, recyclability, circular product design, and percentage of raw materials and components made from recycled or repurposed materials.
  - CoC adherence
    - Ratio of suppliers with an accepted and complaining with supplier Code of Conduct.
  - Supplier risk score
    - Rating of a supplier's risk assessment based on adherence to environmental, social and governance targets

- **Resilience KPIs**
  - OTIF – On-Time-in-Full
    - How often a company delivers the correct order quantities on the agreed-upon delivery date, thereby meeting customer demand.
  - Avg. Lead Time
    - The average period between when an order is placed and when that order is delivered.
  - Safety Stock
    - The extra quantity of a product which is stored to prevent an out-of-stock situation.
  - Percentage of Single-Source Spend
    - Ratio of spend that is covered by a single supplier (across all commodities).

H&Z Bull's Eye


Innovation
Value Chain and Sourcing
Cost Value Engineering
Specification
Sourcing
Negotiations
Value Creation
H&Z
Bull's Eye
Resilience
Sustainability
Forecasting and Planning
Demand
Execution
Finance and Supply Chain Processes
Demand Management
ESG

X Value Creation Sustainability Resilience

Demand Management | Bundle demands

Definition

The strategy of **consolidating similar or related procurement needs from different departments, business units, or even across multiple companies to increase purchasing volume**. By aggregating demand, businesses can negotiate better terms, secure bulk discounts, and strengthen their negotiating power with suppliers. This lever also improves procurement efficiency by reducing the number of transactions, streamlining supplier management, and optimizing resource allocation.

Example

A manufacturer consolidates aluminum purchases across multiple production sites, securing bulk discounts and reducing procurement complexity.

Measures / Tools / Activities

- ✓ Bundle demands across business units / divisions / plants
- ✓ Bundle demands across projects
- ✓ Bundle demands across regions / locations
- ✓ Bundle demands across peers (purchasing alliances)
- ✓ Bundle demands of similar parts
- ✓ Bundle demands over time (LTA (long-term agreement), project deals)
- ✓ Bundle demands across commodities (e.g., casting and machining)
- ✓ Bundle demands over lifetime (serial and aftersales business)
- ✓ Utilize buying power of distributors
- ✓ Eliminate intermediate levels (distributors)

Impact / Potential

- ✓ Increase of market power and achievement of price advantages through bundling of demands

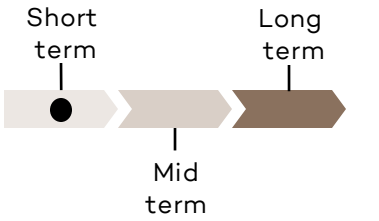
Approach

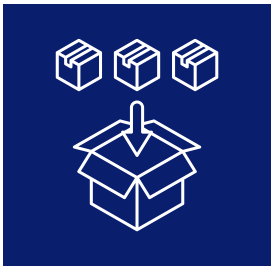
1. Identify opportunities for demand bundling
2. Quantify the potential volume and benefits
3. Engage internal stakeholders
4. Negotiate with suppliers
5. Implement and monitor

KPIs

Value Creation	Sustainability	Resilience
X PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	CoC adherence	Safety stock
CTG	Supplier risk score	% Single-source spend
ANR		

Implementation timeline





X Value Creation X Sustainability Resilience

Demand Management | Control and reduce demand

Definition

A cost-reduction strategy aimed at managing and minimizing the consumption of goods, services, or resources within an organization. By controlling and optimizing internal demand, companies can **reduce waste, lower procurement costs**, and increase operational efficiency. This lever focuses on identifying areas of **overconsumption**, **implementing policies or processes to regulate usage**, and promoting more efficient practices to ensure that only necessary purchases are made, often leading to long-term savings.

Example

Improvement of travel policy for hotel overnight stay by reducing allowance from 140€ to 100€

Installation of vending machines for MRO (maintenance, repair and operations) articles in production.

Measures / Tools / Activities

- ✓ Establish demand barrier & sanctioning
- ✓ Establish access restrictions
- ✓ Establish approval enforcement
- ✓ Establish zero-based budgeting

Impact / Potential

- ✓ Avoidance of unnecessary expenditures
- ✓ Reduction of waste from overconsumption

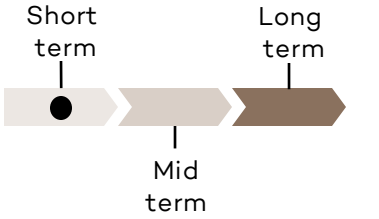
Approach

1. Assess current consumption and identify inefficiencies
2. Set clear demand control objectives
3. Implement demand management policies
4. Promote efficient usage and best practices
5. Monitor demand and adjust

KPIs

Value Creation		Sustainability		Resilience	
X	PPC	X	CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM		CoC adherence		Safety stock
	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



X Value Creation X Sustainability Resilience

Demand Management | Optimize batch size(s)

Definition

The process of adjusting the quantity of products or materials produced or procured in a single batch to **achieve optimal efficiency and cost-effectiveness**. By optimizing batch sizes, companies can **reduce production costs**, minimize inventory holding costs, lower waste, and improve overall operational efficiency. This lever seeks to strike the right balance between economies of scale (larger batches lowering per-unit costs) and the costs associated with excess inventory, setup times, or overproduction.

Example

Collection of small orders to achieve a reasonable batch size to produce injection molded parts, so that tool and set-up costs can be allocated to an appropriate number of units. Avoid too large batch sizes to minimize storage and scrapping risks

Measures / Tools / Activities

- ✓ Optimize order and/or batch sizes (e.g., FCL-order (full container load) vs. LCL-order (less than container load), achieve full-batch sizes)

Impact / Potential

- ✓ Optimization of batch sizes to distribute production overheads / logistics costs over a higher number of units --> Reduction of unit prices and TCO (total cost of ownership)
- ✓ Possible reduction of carbon footprint in logistics (Scope 3)

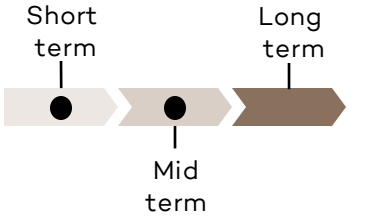
Approach

1. Analyze current batch sizes
2. Determine the optimal batch size
3. Implement adjusted batch sizes
4. Monitor and evaluate performance
5. Refine and continuously improve

KPIs

Value Creation		Sustainability		Resilience	
X	PPC	X	CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM		CoC adherence		Safety stock
	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



X Value Creation Sustainability X Resilience

Forecast and Planning | Proactively manage obsolescence

Definition

The proactive identification, planning, and mitigation of risks associated with products, or technologies that are nearing the end of their life or becoming obsolete. This lever focuses on minimizing the negative impacts of obsolescence, such as **production disruptions, increased maintenance costs, or supply shortages, by actively managing the lifecycle of products and materials**. Strategies may include **timely product redesigns**, **finding alternative components, securing last-time buys, or forming partnerships with suppliers.**

Example

A manufacturer redevelops its electronic control unit to use a newer chip after anticipating that the current chip will no longer be produced in 2 years. Until then, he places a last-time-buy order

Measures / Tools / Activities

- ✓ Proactively manage obsolete parts/products and optimize supplier contracts
- ✓ Implement supplier relationship management
- ✓ Benchmark and agree on long term commitment & partnership
- ✓ Start Strategic supplier development (SSD)
- ✓ Start Cost-oriented supplier development (COSD)
- ✓ Set binding improvement targets (passive supplier development)
- ✓ Improve your demand forecast for parts / components / services
- ✓ Manage risk (critical parts from the supplier's point of view / commercially, technologically, legal framework)

Impact / Potential

- ✓ Securement of availability of parts that are at the end of the Product Lifecycle
- ✓ Increase of flexibility through early planning of discontinued parts
- ✓ Avoidance of mark-ups for discontinued parts
- ✓ Reduction of storage costs for obsolete stocks
- ✓ Adjustment of availability of material and improvement of the NWC (net working capital)

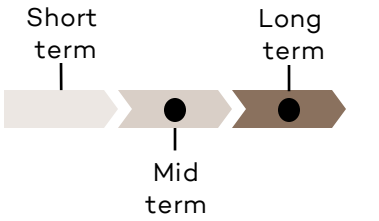
Approach

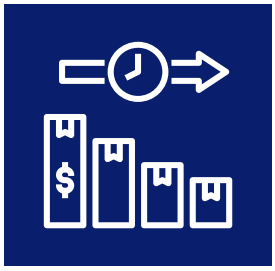
1. Identify risk products and suppliers
2. Engage with suppliers
3. Develop mitigation strategies (e.g. LTB[1], new specs.)
4. Implement lifecycle monitoring
5. Integrate obsolescence into procurement strategy

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
X	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline





1 | Last Time Buy

X Value Creation Sustainability X Resilience

Forecast and Planning | Adjust inventory and logistics concept(s)

Definition

The process of revising and optimizing how inventory is managed and how goods are transported within the supply chain to improve efficiency. This lever focuses on **aligning inventory levels with actual demand**, reducing excess stock, minimizing lead times, and improving overall logistics operations. Strategies may include shifting to just-in-time (JIT) inventory models, implementing demand-driven replenishment systems, optimizing warehouse locations, and improving transportation routes and methods, as well as introducing VMI or consignment stocks to increase resilience.

Example

A manufacturer adopts vendor-managed inventory for critical components, ensuring suppliers handle stock levels and deliveries based on production schedules.

Measures / Tools / Activities

- ✓ Analyze your demand
- ✓ Define the service level
- ✓ Conduct ABC/XYZ analysis
- ✓ Adjust Order quantity
- ✓ Adjust minimum order quantity (MOQ)
- ✓ Define Safety stock of tier 1 and / or tier 2
- ✓ Implement Vendor Managed Inventories (VMI)
- ✓ Implement Consignment stock

Impact / Potential

- ✓ Increase of service level for production & assembly through higher or lower inventories (own inventories and / or along the supply chain);
- ✓ Dynamic inventory concepts

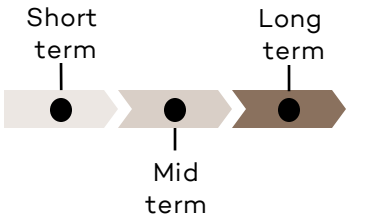
Approach

1. Analyze current inventory and logistic performance
2. Define inventory and logistic optimization goals
3. Implement demand-driven inventory
4. Optimize logistics operations
5. Monitor and improve

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e	X	OTIF
	MCP		Circularity rating	X	Avg. Lead Time
X	VAM		CoC adherence	X	Safety stock
X	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



X Value Creation Sustainability X Resilience

Forecast and Planning | Improve S&OP and forecasting

Definition

Enhancing the Sales and Operations Planning (S&OP) process and demand forecasting to create better alignment between sales, operations, and supply chain functions. This lever focuses on improving the **accuracy and reliability of demand forecasts** and ensuring that operational planning (such as production, and procurement) is aligned with sales projections. By improving S&OP and forecasting, businesses can reduce inventory levels, minimize stockouts, optimize production schedules, better respond to market changes, and reduce supply disruptions due to improved supplier capacity and delivery planning.

Example

A manufacturer enhances S&OP by collaborating with distributors to improve demand visibility, ensuring better raw material planning, avoiding shortages and being able to make commitments to the supplier

Measures / Tools / Activities

- ✓ Provide Binding Forecast (rolling – mid/long-term) to suppliers
- ✓ Set Binding Orders
- ✓ Establish / Improve EDI (electronic data interchange) & Data Management
- ✓ Establish / provide supplier platform (quantity, time, production, delivery data, inventory levels)
- ✓ Ask for supplier feedback on capacities & production process

Impact / Potential

- ✓ Improvement in planning accuracy,
- ✓ Extension of planning horizon,
- ✓ Improvement of utilization of machines and systems,
- ✓ Reduction of safety stocks in supply chain,
- ✓ Reduction of capital commitment
- ✓ Possibility of binding orders,
- ✓ Improvement of negotiating position through (volume) commitments
- ✓ Improvement of supplier capacity and delivery planning

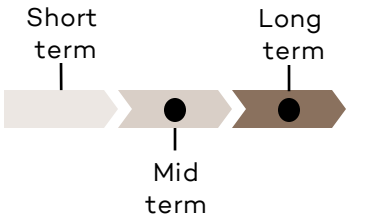
Approach

1. Assess the current S&OP process
2. Enhance x-functional collaboration
3. Leverage advanced forecasting tools and data
4. Align operational plans with demand forecasts
5. Monitor and improve

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e	X	OTIF
	MCP		Circularity rating	X	Avg. Lead Time
X	VAM		CoC adherence	X	Safety stock
X	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



X Value Creation Sustainability X Resilience

CVE | Harmonize product/ material specifications and standardize

Definition

Aligning and **unifying different product designs**, material choices, and technical standards across various processes, regions, or suppliers. **By reducing the variety of specifications**, businesses can lower production complexity, **achieve economies of scale**, **enhance supply chain efficiency**, improve resilience due to increased sourcing options and ultimately reduce costs through **bulk purchasing and streamlined processes**.

Example

A manufacturer standardizes fasteners across multiple models, reducing procurement complexity and benefiting from bulk pricing.

Change from a customer-specific material to a material commonly used on the market

Measures / Tools / Activities

- ✓ Conduct QFD Workshop (quality function deployment)
- ✓ Conduct Design-to Cost / Manufacturing/ Assembly / Logistics / Serviceability Workshop
- ✓ Conduct Product Convention
- ✓ Analyze the costs using Target Costing
- ✓ Analyze the costs using Should-Cost-Analysis
- ✓ Analyze the costs using (Multi-) linear Performance Pricing (MLPP)
- ✓ Analyze the costs using Cost Analysis and Optimization (CAO)
- ✓ Analyze the costs using Price & Cost Benchmarking

Impact / Potential

- ✓ Identification and elimination of non-standard products / characteristics / features
- ✓ Increase of sourcing options in the market
- ✓ Reduction of market dependencies through standardization

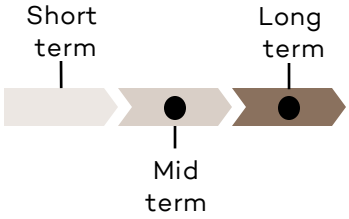
Approach[1]

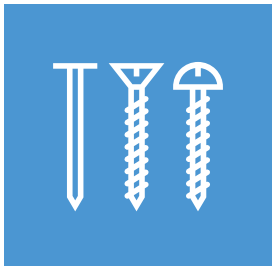
1. Assessment of current specifications and costs
2. Identification of standardization opportunities
3. Engage with key suppliers for better pricing
4. Implementation of standardized specifications
5. Continuous monitoring and improvement

KPIs

Value Creation		Sustainability		Resilience	
	PPC		CO2e		OTIF
X	MCP		Circularity rating		Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
	CTG		Supplier risk score	X	% Single-source spend
	ANR				

Implementation timeline





1 | X-functional: Product management, Sales, Engineering, Logistic, Service

X Value Creation X Sustainability X Resilience

CVE | Right size/ reduce product and material specifications (functional design)

Definition

Optimizing product designs and material selections to **align with actual functional needs rather than over-specifying**. By ensuring that components are "right-sized" to meet performance requirements without **unnecessary excess**, companies can **minimize waste**, **reduce material costs, and improve manufacturing efficiency**. This approach ensures products are both cost-effective and fit for purpose, avoiding **over-engineering while maintaining functionality and quality**.

Example

A manufacturer switches to lighter, optimized alloy components instead of over-engineered super-alloy parts, reducing costs.

Measures / Tools / Activities

- ✓ Apply robust design principles
- ✓ Conduct QFD ((quality function deployment))Workshop
- ✓ Conduct Design-to Cost / Manufacturing/ Assembly / Logistics / Serviceability Workshop
- ✓ Conduct Product Convention
- ✓ Prepare FMEA (failure mode and effects analysis)
- ✓ Analyze the costs using Target Costing, MLPP (Multi-linear Performance Pricing), Should Costing or Cost Analysis
- ✓ Analyze the costs using Price & Cost Benchmarking

Impact / Potential

- ✓ Identification and elimination of additional functionality / features
- ✓ Identification and elimination of too complex / detailed technical specifications and too high tolerances
- ✓ Cost reduction as the service life of the product is reduced
- ✓ Increase of different supplier or manufacturing processes options due to functional design
- ✓ Derivation of specific requirements to enable procurement options of more solutions / opportunities (broaden scope)
- ✓ Development of supplier-agnostic / -independent specifications
- ✓ Increase of sourcing options on the market simultaneously reduction of market dependencies

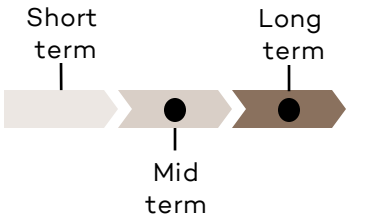
Approach[1]

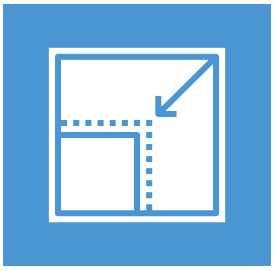
1. Analyze functional requirements of the product
2. Benchmark and compare existing designs (gap analysis)
3. Explore alternatives within a x-functional team
4. Pilot and validate design adjustments
5. Implement adjustments and monitor

KPIs

Value Creation		Sustainability		Resilience	
	PPC	X	CO2e		OTIF
X	MCP	X	Circularity rating		Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
	CTG		Supplier risk score	X	% Single-source spend
	ANR				

Implementation timeline





1 | X-functional: Product management, Sales, Engineering, Logistic, Service

X Value Creation X Sustainability X Resilience

CVE | Simplify and standardize packaging specifications

Definition

Reducing **complexity in packaging design** by using **common, standardized materials and formats** across different product lines or regions. This approach aims to lower costs by minimizing variation in packaging materials and processes, improving efficiency in production and supply chains, taking advantage of **economies of scale, as well as** improve resilience due to increased sourcing options. Standardization also enhances sustainability by **reducing waste** and making packaging easier to recycle or reuse.

Example

Especially in EU and North America, use standard reusable tertiary packaging like KTLs (Kleinladungsträger)

Measures / Tools / Activities

- ✓ Conduct QFD Workshop (quality function deployment)
- ✓ Conduct Design-to Cost / Manufacturing/ Assembly / Logistics / Serviceability Workshop
- ✓ Conduct Product Convention
- ✓ Analyze the costs using Target Costing, Should Cost Analysis, MLPP (Multi-linear Performance Pricing), Price & Cost Benchmarking

Impact / Potential

- ✓ Identification and elimination of additional functionality / features
- ✓ Identification and elimination of too complex / detailed technical specifications
- ✓ Material cost reduction due to less costly material
- ✓ Cost reduction due to less complexity in packaging
- ✓ Increase of sourcing options in the market
- ✓ Reduction of market dependencies through standardization
- ✓ Reduction of CO2e emissions and waste considering use of sustainable or reusable packaging

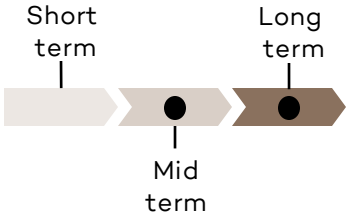
Approach[1]

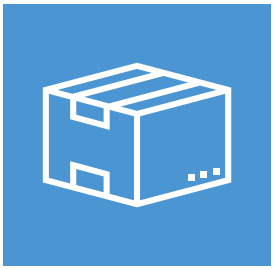
1. Assess current packaging solutions
2. Identify opportunities for standardization
3. Discuss advantages with suppliers
4. Pilot and validate packaging adjustments
5. Roll-out and monitor

KPIs

Value Creation		Sustainability		Resilience	
	PPC	X	CO2e		OTIF
X	MCP	X	Circularity rating		Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
	CTG		Supplier risk score	X	% Single-source spend
	ANR				

Implementation timeline





1 | X-functional: Product management, Sales, Engineering, Logistic, Service

X Value Creation X Sustainability X Resilience

CVE | Purchase components at a different level of the value chain

Definition

Sourcing materials, sub-components, or finished components at different stages of the supply chain. Companies can either **purchase raw materials or sub-components** to assemble in-house **or purchase complete systems** instead of individual components. The decision to shift purchasing up or down the value chain **depends on cost, control, and production efficiency.**

Example

A manufacturer bundles and negotiates steel for itself and its welding suppliers, allowing it to better control prices and the supply chain

Measures / Tools / Activities

- ✓ Conduct QFD Workshop (quality function deployment)
- ✓ Conduct Design-to Cost / Manufacturing/ Assembly / Logistics / Serviceability Workshop,
- ✓ Conduct Product Convention
- ✓ Analyze the costs using Target Costing, Should Cost Analysis, MLPP (Multi-linear Performance Pricing), Price & Cost Benchmarking
- ✓ Increase BoM (bill of materials) transparency
- ✓ Guarantee availability of raw materials

Impact / Potential

- ✓ Reduction in the number of purchased parts / suppliers (assembled --> casted part)
- ✓ Utilization of cost advantages of external value creation
- ✓ Reduction of internal risks (errors, scrap)
- ✓ Avoidance of customs duties / taxes at certain stages of production. (e.g., completely knocked-down approach automotive)
- ✓ Reduction of complexity of supply demand; enlarge potential supply market
- ✓ Reduction of sustainability risks within the supply chain due to increased n-tier transparency (e.g. sanctions from violating regulatory requirements like EUDR (European Deforestation Regulation) and violating human rights along with the related reputational damage)

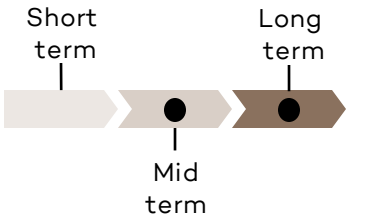
Approach[1]

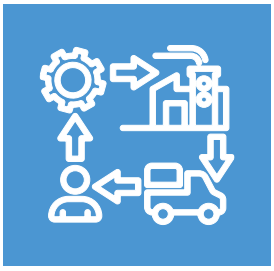
1. Analyze current supply chain & pro-curement strategy
2. Evaluate Total Cost of ownership for each scenario
3. Engage with key suppliers to discuss options
4. Pilot and assess impact (costs, lead time, quality)
5. Implementation

KPIs

Value Creation		Sustainability		Resilience	
	PPC	X	CO2e		OTIF
X	MCP		Circularity rating	X	Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline





1 | X-functional: Product management, Sales, Engineering, Logistic, Service

X Value Creation Sustainability X Resilience

CVE | Improve/ reduce/ consolidate variants

Definition

The process of streamlining the number of product or component variations within a portfolio to **reduce complexity, lower production costs, and enhance operational efficiency**. By minimizing **unnecessary variants**, businesses can optimize **production runs, reduce inventory**, simplify logistics, and **improve economies of scale**. The focus is on maintaining product functionality and customer satisfaction while eliminating redundant or low-demand variations that add complexity and cost without significant value.

Example

A company streamlines its vacuum cleaner models by eliminating low-demand color variations, optimizing inventory and manufacturing efficiency.

Measures / Tools / Activities

- ✓ Establish Variant Management or Equal Parts Management
- ✓ Conduct product convention workshop

Impact / Potential

- ✓ Reduction of complexity to utilize the economies of scale through a higher quantity of identical parts
- ✓ Reduction of complexity of supply demand; enlargement of potential supply market
- ✓ Increase of opportunities for dual sourcing
- ✓ Increase of sourcing options in the market Reduction of market dependencies

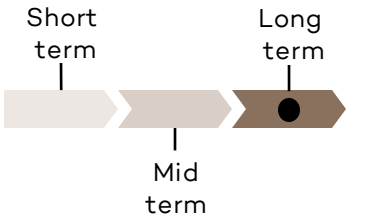
Approach[1]

1. Analyze current product portfolio
2. Define criteria for consolidation
3. Engage with x-functional stakeholders
4. Pilot and assess the reduction (cost savings, efficiency)
5. Implementation & continuous review

KPIs

Value Creation		Sustainability		Resilience	
	PPC		CO2e		OTIF
X	MCP		Circularity rating		Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
	CTG		Supplier risk score	X	% Single-source spend
	ANR				

Implementation timeline



1 | X-functional: Product management, Sales, Engineering, Logistic, Service

X Value Creation Sustainability Resilience

Innovation | Develop, adapt, and optimize products by utilizing external (supplier) innovation

Definition

The process of supplier collaboration to **leverage their expertise**, technology, and innovations in product development. By tapping into the creativity and advancements offered by external suppliers, businesses can **improve, modify, or develop new products more efficiently.** This approach **enhances product performance**, reduces time to market, and often leads to cost savings through optimized processes, or designs. It focuses on creating **mutually beneficial partnerships.**

Example

A consumer electronic manufacturer collaborates with a battery supplier to develop a higher-density battery, extending range while reducing weight.

Measures / Tools / Activities

- ✓ Establish a process for Disruptive Market Innovation
- ✓ Product optimization innovation
- ✓ Functional Specifications & Concept Competition
- ✓ Early Supplier Involvement

Impact / Potential

- ✓ Improvement of product characteristics
- ✓ Reduction of costs
- ✓ Maintenance of a competitive advantage to achieve higher margins or increased sales volumes

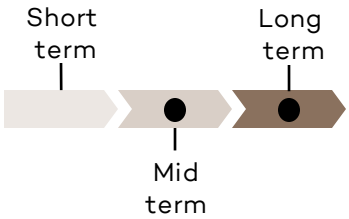
Approach[1]

1. Identify strategic suppliers with innovation potential
2. Establish collaborative partnership
3. Ignite supplier innovation into product development
4. Test and validate innovations
5. Implement and scale

KPIs

Value Creation		Sustainability		Resilience	
	PPC		CO2e		OTIF
X	MCP		Circularity rating		Avg. Lead Time
	VAM		CoC adherence		Safety stock
X	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



1 | X-functional approach: Product management, Sales, Engineering, Logistic, Service, Supplier

X Value Creation X Sustainability Resilience

Innovation | Design products aimed at delivering optimal value for customers

Definition

Creating or modifying products with a focus on maximizing the perceived value to the customer. **This involves understanding customer needs and preferences**, then designing products that meet these expectations in terms of **functionality, quality, and price**. The goal is to strike the right balance between features and costs, ensuring that the **product delivers what customers are willing to pay for without over-engineering.**

Example

Development of a compressed air system for a compressor designed for use at 200 bar max. Deliberate renunciation of further performance to meet customer needs.

Measures / Tools / Activities

- ✓ Analyze your competitors (Benchmarking of products)
- ✓ Understand the needs of the customer
- ✓ Conduct Design to Value (DTV) Workshops

Impact / Potential

- ✓ Improvement of product characteristics
- ✓ Maintenance of a competitive advantage in order to achieve higher margins or increase sales volumes
- ✓ Increase of value for customers willing to pay a green premium
- ✓ Reduction of waste by designing more long-lasting products (especially for B2B)

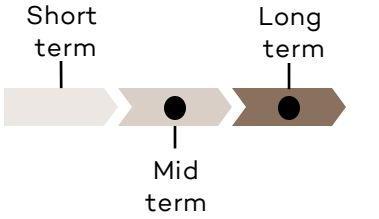
Approach

1. Understand customer needs and preferences
2. Define value-driven product specifications
3. Optimize design to value
4. Prototype and test with customers
5. Launch and monitor performance

KPIs

Value Creation		Sustainability		Resilience	
	PPC	X	CO2e		OTIF
X	MCP	X	Circularity rating		Avg. Lead Time
	VAM		CoC adherence		Safety stock
X	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



X Value Creation Sustainability Resilience

Innovation | Optimize/ right size production (assets)

Definition

The process of optimizing the scale and capacity of production equipment. The lever focuses on ensuring that production assets are neither **underutilized nor overextended**, thereby minimizing costs associated with excess capacity (e.g., maintenance, energy use, and depreciation) or inefficiencies from insufficient assets.

Example

A manufacturer replaces an oversized paint shop incl. high-end automation with a modular system that scales with demand, reducing energy and maintenance costs.

Measures / Tools / Activities

- ✓ Benchmark production, assembly, and logistic processes
- ✓ Conduct Value Steam Analysis,
- ✓ Calculate should costs for products / services

Impact / Potential

- ✓ Reduction of resources use/ costs by selecting the right machine size, degree of automation, number of people / experience level / skill level

Approach[1]

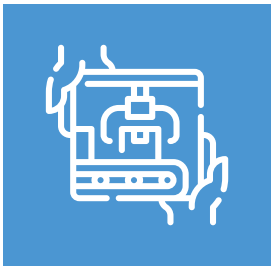
1. Assess current production capacity and utilization
2. Analyze demand forecasts and requirements
3. Identify opportunities for asset optimization
4. Implement adjustments / process changes
5. Monitor performance and adjust

KPIs

Value Creation	Sustainability	Resilience
PPC	CO2e	OTIF
X MCP	Circularity rating	Avg. Lead Time
VAM	CoC adherence	Safety stock
CTG	Supplier risk score	% Single-source spend
ANR		

Implementation timeline

Short term — Mid term — Long term



1 | X-functional approach: Product management, Sales, Engineering, Logistic, Service, Supplier

X Value Creation X Sustainability Resilience

Innovation | Assess options for developing products utilizing new technology/ processes

Definition

Evaluating opportunities to innovate and enhance products by **integrating emerging technologies or adopting advanced processes**. This lever involves analyzing potential technologies, materials, or methods that can improve product performance, reduce costs, or meet evolving customer needs.

Example

Due to the small quantity, the component can now be produced using 3D printing instead of injection molding or machining. This saves costs and resources.

Measures / Tools / Activities

- ✓ Conduct / Establish a process for Technology/ Innovation Scouting
- ✓ Process innovation and product development innovation (visits to trade fairs / congresses)
- ✓ Include circular concepts in assessing new technologies for new products

Impact / Potential

- ✓ Improvement of product characteristics, reduction of costs and maintenance of a competitive advantage e.g., achievement of higher margins or increase of sales volumes
- ✓ Reduction of emissions (e.g., CO2e, noise) through more efficient processes / technologies

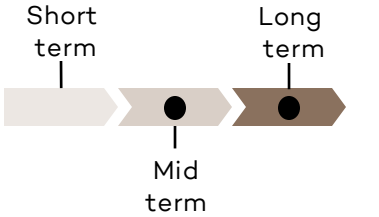
Approach[1]

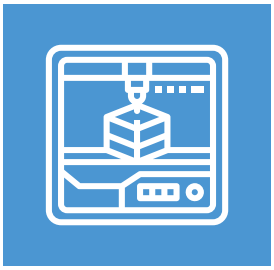
1. Identify product and market needs
2. Research emerging technologies and processes
3. Evaluate feasibility and impact
4. Develop a technology adoption roadmap
5. Monitor performance and iterate

KPIs

Value Creation		Sustainability		Resilience	
	PPC	X	CO2e		OTIF
X	MCP	X	Circularity rating		Avg. Lead Time
	VAM		CoC adherence		Safety stock
X	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline





1 | X-functional approach: Product management, Sales, Engineering, Logistic, Service, Supplier

X Value Creation X Sustainability X Resilience

VC and Sourcing | Define make or buy decision

Definition

Determining the optimal extent of **in-house production vs outsourcing** to external suppliers. It involves analyzing which parts should be kept **within the company's control** and which **can be outsourced to reduce costs, improve efficiency, or access specialized expertise**.

Example

A manufacturer of machine parts decides to outsource the welding assemblies in order to produce capacities for another assembly internally. In return, he brings in the painting to increase process reliability and outsourcing

Measures / Tools / Activities

- ✓ Decide whether to produce a product in-house (make) or purchase it from an external supplier (buy)
- ✓ Conduct internal & external RFQ (request for quotation)
- ✓ Outsource (Make-or-Buy)
- ✓ Insource (Vertical Integration)

Impact / Potential

Make:

- ✓ Costs: Reduction of manufacturing costs (higher utilization, more efficient processes)
- ✓ Flexibility: Improvement of control over production process and faster adjustments to changed demands
- ✓ Delivery Time: Faster delivery time

Buy:

- ✓ Costs: Utilization of economies of scale
- ✓ Flexibility: Quick change of suppliers or purchase of additional capacities as needed
- ✓ Liquidity: Free up capital and liquidity
- ✓ Risks: Diversification of supply base

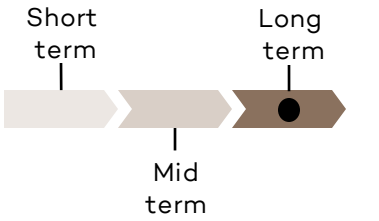
Approach[1]

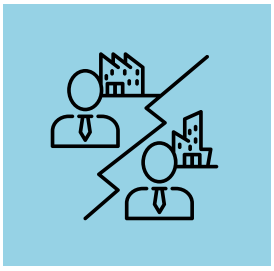
1. Assess current manufacturing / assembly process
2. Identify core competencies and strategic priorities
3. Analyze cost benefits of in-house or outsourcing scenario
4. Engage with suppliers or outsourcing partners
5. Implement and monitor adjustments

KPIs

Value Creation		Sustainability		Resilience	
X	PPC	X	CO2e	X	OTIF
X	MCP		Circularity rating	X	Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
	CTG		Supplier risk score	X	% Single-source spend
	ANR				

Implementation timeline





1 | X-functional: production / assembly, quality Engineering, Logistic, finance

X Value Creation X Sustainability X Resilience

VC and Sourcing | Utilize suppliers in nearby locations/ countries (relocation/ nearshoring)

Definition

Sourcing goods or services from suppliers that are **geographically closer to the business**, either within the **same region or nearby countries**. This strategy, known as nearshoring or relocation, aims to reduce supply chain risks, **lower transportation costs, shorten lead times, and improve responsiveness to market demands**. By relocating supply chains closer to their operations, companies can also benefit from better communication, easier coordination, and often **more stable political or economic environments compared to distant or offshore locations.**

Example

A company in the EU relocates circuit board assembly from China to CEE, improving logistics efficiency, lowering tariffs, and benefiting from compliance with EU (sustainability) regulations.

Measures / Tools / Activities

- ✓ Change awarding guidelines (e.g., min. spend / supplier)
- ✓ Conduct RFQ (request for quotation)
- ✓ Conduct negotiation
- ✓ Award supplier in nearshoring countries
- ✓ Change supplier production site

Impact / Potential

- ✓ Reduction of delivery time
- ✓ Reduction of stocks / safety stock
- ✓ Minimization of risk during the delivery time
- ✓ Reduction of transportation costs
- ✓ Reduction of risks for services due to cultural similarities, time zones
- ✓ Utilization of cost savings due to lower wages, energy costs
- ✓ Possible reduction of the CO2 footprint

as permanent or fallback solution

Approach[1]

1. Evaluate current supply chain and risks
2. Identify nearby supplier options (trade agreements, labor costs)
3. Conduct RFx and negotiations
4. Pilot with selected suppliers
5. Implement and optimize

KPIs

Value Creation		Sustainability		Resilience	
X	PPC	X	CO2e		OTIF
X	MCP		Circularity rating	X	Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
	CTG	X	Supplier risk score		% Single-source spend
	ANR				

Implementation timeline

Short term — Mid term — Long term

1 | X-functional approach: Product management, Sales, Engineering, Logistic, Service, Supplier

X Value Creation X Sustainability X Resilience

VC and Sourcing | Create n-tier transparency and manage different tier-levels in the supply chain

Definition

Gaining visibility and control over the entire supply chain, beyond just direct (Tier 1) suppliers. This **involves mapping and understanding all tiers, including Tier 2, Tier 3, and beyond**, to ensure full transparency of **where materials, components, and services originate**. By managing different tier levels, companies can identify risks, **optimize sourcing, improve supplier performance, ensure compliance**, and reduce costs by streamlining the entire supply chain.

Example

A manufacturer maps Tier 2 and Tier 3 suppliers for critical semiconductors to mitigate risks from potential raw material shortages.

Measures / Tools / Activities

- ✓ Increase supply chain transparency and actively control (Supplier --> Procurement)
- ✓ Perform supply capacity planning (confirmed capacities)
- ✓ Implement EDI (electronic data interchange) & Data Management (Tool)
- ✓ Implement Supplier Portal (quantity, time, production, delivery data)
- ✓ Manage primary materials procurement (better conditions, but also the option to purchase)
- ✓ Perform financing and prioritization of suppliers for critical materials

Impact / Potential

- ✓ Improvement of control of supply chain / financing
- ✓ Reduction of bottlenecks and risks in supply (single source, conflicts, etc.),
- ✓ Reduction of sustainability risks within the supply chain due to increased n-tier transparency

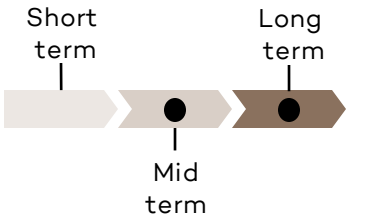
Approach[1]

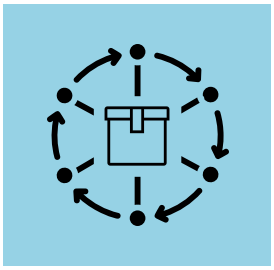
1. Map the entire supply chain
2. Implement data collection and sharing systems
3. Engage suppliers for collaboration
4. Analyze and mitigate risks (financial, geopolitical, costs)
5. Monitor and optimize

KPIs

Value Creation		Sustainability		Resilience	
X	PPC	X	CO2e	X	OTIF
	MCP		Circularity rating	X	Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
X	CTG	X	Supplier risk score		% Single-source spend
	ANR				

Implementation timeline





1 | X-functional approach: Product management, Sales, Engineering, Logistic, Service, Supplier

X Value Creation X Sustainability X Resilience

VC and Sourcing | Optimize production footprint

Definition

Strategically adjusting the **location, size, and capacity of manufacturing facilities to improve operational efficiency, reduce costs, and enhance flexibility.** This involves analyzing the geographic distribution of production sites, evaluating proximity to **key markets (customers and suppliers)**, labor costs, transportation, and supply chain infrastructure. The goal is to balance production capacity with demand, and ensure that the network supports long-term growth, cost savings, resilience & sustainability.

Example

A manufacturer consolidates two underutilized plants into a single, larger facility closer to key suppliers, reducing logistics costs and improving efficiency.

Measures / Tools / Activities

- ✓ Change own production
- ✓ Standardize and improve processes continuously
- ✓ Relocate the production
- ✓ Develop redundant value chains

Impact / Potential

- ✓ Improvement of proximity of production to supply/ customer markets
- ✓ Reduction of risks in logistics / trade barriers / tariffs
- ✓ Potential reduction of product carbon footprint

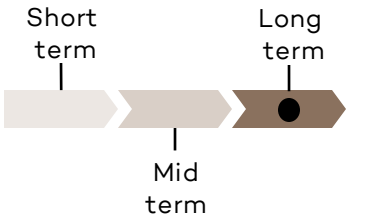
Approach[1]

1. Map the current production network
2. Identify strategic optimization opportunities
3. Develop a realignment plan
4. Implement the changes
5. Monitor and optimize

KPIs

Value Creation		Sustainability		Resilience	
X	PPC	X	CO2e		OTIF
	MCP		Circularity rating	X	Avg. Lead Time
X	VAM		CoC adherence	X	Safety stock
X	CTG		Supplier risk score	X	% Single-source spend
	ANR				

Implementation timeline



1 | X-functional approach: Product management, Sales, Engineering, Logistic, Service, Supplier

X Value Creation Sustainability Resilience

VC and Sourcing | Utilize suppliers in Low-Cost Country/ Best-Cost Country

Definition

Sourcing materials, **components, or services from countries where labor, manufacturing, and operational costs are lower**, allowing businesses to reduce procurement and production expenses. "Low-Cost Country" (LCC) sourcing focuses purely on minimizing costs, while "Best Cost Country" (BCC) sourcing balances cost with other factors such as quality, reliability, and supply chain efficiency. This approach helps companies optimize cost structures.

Example

A manufacturer sources precision-cast components from India, balancing cost savings with strong supplier capabilities.

Measures / Tools / Activities

- ✓ Change awarding guidelines (e.g., min. spend / supplier)
- ✓ Conduct RFQ (request for quotation)
- ✓ Conduct negotiation (utilization of production network in BCC
- ✓ Award supplier
- ✓ Perform Supplier Production Relocation, Offshoring

Impact / Potential

- ✓ Improvement of cost benefits (wages / energy, logistics, customs duties)

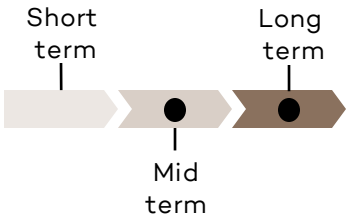
Approach[1]

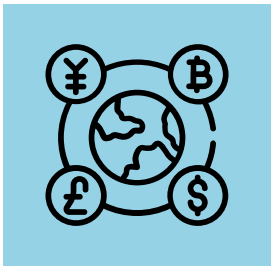
1. Identify opportunities for cost reduction
2. Research and select target countries / supplier markets
3. RFx and qualify suppliers
4. Negotiate Contracts and establish agreements
5. Implement dual source / competition

KPIs

Value Creation	Sustainability	Resilience
X PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	CoC adherence	Safety stock
CTG	Supplier risk score	% Single-source spend
ANR		

Implementation timeline





1 | X-functional approach: Product management, Sales, Engineering, Logistic, Service, Supplier

X Value Creation Sustainability X Resilience

VC and Sourcing | Global arbitrage purchasing

Definition

Sourcing goods, services, or materials from different regions or countries to take advantage of price **differences, currency fluctuations, labor costs, or resource availability**. This approach allows companies to leverage geographic differences in pricing and cost structures to achieve better financial outcomes while maintaining supply chain flexibility and resilience. **Global Arbitrage Purchasing aims for short-term, dynamic price advantages**, while BCC sourcing takes a longer-term, more stable approach that considers not only lowest cost, but also quality and risk management.

Example

A parts supplier alternates between titanium procurement from CEE and the U.S., depending on market prices and tariff conditions.

Measures / Tools / Activities

- ✓ Conduct currency hedging
- ✓ Conduct global trade management
- ✓ Create supply chain visibility

Impact / Potential

- ✓ Improvement of buying position by taking advantage of price differences or cost advantages due to regional differences worldwide, often based on currency fluctuations, raw material costs or short-term economic conditions
- ✓ Increase of flexibility by responding to changes in global markets to realize short-term advantages.
- ✓ Increase of global supply opportunities/sources; hence, becoming more resilient to regional supply chain disruptions

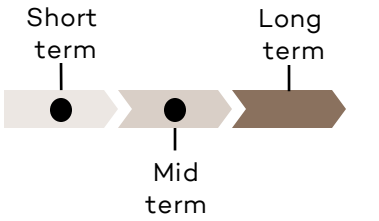
Approach

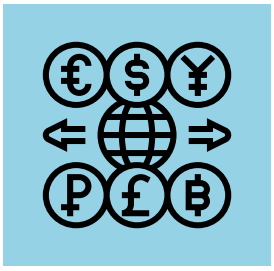
1. Monitor global markets and identify opportunities
2. Develop a flexible supplier base
3. Negotiate dynamic contracts
4. Implement flexible procurement processes
5. Continuously optimize and manage risks

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e		OTIF
	MCP		Circularity rating	X	Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
X	CTG		Supplier risk score	X	% Single-source spend
	ANR				

Implementation timeline





X Value Creation Sustainability X Resilience

VC and Sourcing | Define/ develop a 2nd source for materials/ components/ services (dual sourcing)

Definition

Establishing an additional supplier for materials, components, or services to mitigate risks associated with relying on a single supplier. Dual sourcing helps **enhance supply chain resilience** by reducing dependence on a single source, thus lowering the risk of disruptions due to capacity constraints or others. It also **introduces competition between suppliers**, which can lead to better pricing and improved service levels.

Example

A company qualifies an alternative cables supplier to ensure continuous production in case of delays or quality issues with the primary vendor.

Measures / Tools / Activities

- ✓ Conduct RFQ (request for quotation)
- ✓ Start / reinforce Supplier Development
- ✓ Start / reinforce Supplier Qualification

Impact / Potential

- ✓ Maximization of number of potential suppliers/ bidders to maximize competition,
- ✓ Improvement of competition by including global challengers/ leaders
- ✓ Reduction of dependencies to single sources

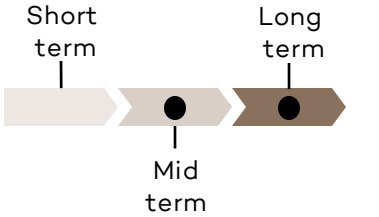
Approach[1]

1. Identify the need for 2nd source
2. Evaluate and select potential suppliers (RFx)
3. Negotiate contract and terms
4. Supplier qualification
5. Implement dual source / competition

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
X	CTG		Supplier risk score	X	% Single-source spend
	ANR				

Implementation timeline



1 | X-functional approach: Product management, Sales, Engineering, Logistic, Service, Supplier

X Value Creation Sustainability Resilience

VC and Sourcing | Select the best and cheapest offers or suppliers (cherry picking)

Definition

A procurement strategy where a company identifies and chooses the most favorable suppliers based on a combination of price and value. By selecting the suppliers who offer the lowest **prices without compromising on quality or service, companies can maximize cost savings** while ensuring that product or service standards are met. This approach typically involves evaluating multiple suppliers for the same product or service and selecting the "best deal" based on specific criteria like cost, delivery terms, and reliability.

Example

A supermarket chain selects the lowest-cost dairy supplier that meets quality and delivery standards, maximizing savings while maintaining product freshness.

Measures / Tools / Activities

- ✓ Optimize the awarding strategy (bundling vs. cherry picking)

Impact / Potential

- ✓ Minimization of costs and maximization of quality

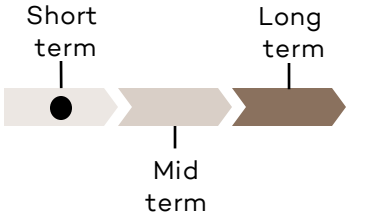
Approach

1. Identify procurement needs and set criteria
2. RFx and evaluate supplier offers
3. Compare and rank offers
4. Negotiate and select the best options
5. Select and monitor supplier performance

KPIs

Value Creation	Sustainability	Resilience
X PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	CoC adherence	Safety stock
CTG	Supplier risk score	% Single-source spend
ANR		

Implementation timeline



X Value Creation X Sustainability Resilience

VC and Sourcing | Pooling of demand with one/ a few suppliers

Definition

Aggregating demand for similar products or services, businesses can negotiate better terms with one or suppliers, achieve bulk purchasing discounts, and reduce administrative and logistical costs. This strategy **leverages economies of scale, allowing companies to optimize pricing, improve supplier relationships, and streamline procurement processes.**

Example

A parts manufacturer consolidates orders for aluminum across multiple production sites, securing bulk discounts from a single supplier

Measures / Tools / Activities

- ✓ Change awarding guidelines (e.g., min. spend / supplier)
- ✓ Conduct RFx
- ✓ Conduct negotiation
- ✓ Award supplier

Impact / Potential

- ✓ Increase of capacity utilization and the importance at the supplier (improved supply)
- ✓ Increase of quantities to achieve economies of scale and cost reductions
- ✓ Increase of quality of screening for supply chain compliance
- ✓ Reduction of Scope 3 emissions due to less complex logistic network

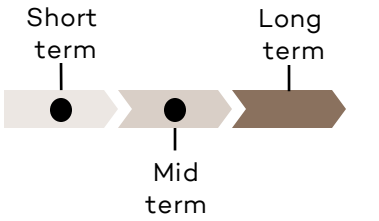
Approach

1. Identify opportunities for supplier consolidation / pooling
2. Engage stakeholders and align objectives
3. Analyze supplier market (RFx)
4. Negotiate and resource
5. Select and monitor supplier performance

KPIs

Value Creation		Sustainability		Resilience	
X	PPC	X	CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM	X	CoC adherence		Safety stock
	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



X Value Creation Sustainability X Resilience

VC and Sourcing | Optimize supplier allocation share and size

Definition

Strategically **adjusting the volume and share of business** allocated to different suppliers. This involves analyzing the supplier base to determine the ideal distribution of orders across suppliers, ensuring that **no single supplier holds too much control while leveraging competition to achieve better pricing and service**. It also includes balancing supplier size and capabilities to ensure reliability, flexibility, and alignment with business needs.

Example

A company allocates 70% of plastic component production to a primary supplier and 30% to a secondary supplier to maintain flexibility and reduce risk and to maintain its own negotiating power.

Measures / Tools / Activities

- ✓ Prepare Re-allocation or quick volume shift
- ✓ Introduce share of wallets (2nd sourcing)
- ✓ Consolidate suppliers

Impact / Potential

- ✓ Maximization of competition through elimination of parts without respective competition from the package,
- ✓ Minimization of expected costs of collusion (i.e., higher than market prices) through share definition
- ✓ Reduction of dependencies to single suppliers

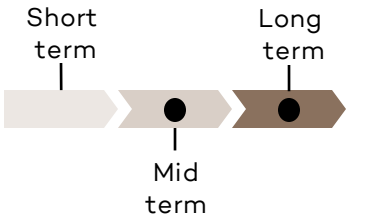
Approach

1. Assess current supplier base
2. Define optimal allocation criteria
3. Redistribute supplier share & size
4. Negotiate and build relationship
5. Monitor performance and adjust allocation

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
X	CTG		Supplier risk score	X	% Single-source spend
X	ANR				

Implementation timeline



X Value Creation Sustainability X Resilience

VC and Sourcing | Accelerate qualification process of material(s) and supplier(s)

Definition

Simplifying or streamlining the processes and criteria for qualifying or requalifying suppliers and materials. This can involve **eliminating unnecessary or overly stringent requirements** that do not directly impact quality or performance, thereby reducing **administrative burden**, **speeding up supplier onboarding, and lowering costs**. By focusing only on essential criteria can increase efficiency in the procurement process while still ensuring to meet necessary standards.

Example

A manufacturer removes redundant testing requirements for suppliers that are already certified by regulatory authorities, speeding up onboarding.

Measures / Tools / Activities

- ✓ Reduce requirements for supplier/material (re-) qualification

Impact / Potential

- ✓ Improvement of availability of suppliers and alternative components, Improve responsiveness in case of supply issues with one source
- ✓ Reduction of supply chain disruption risks due to quicker reaction times when need to onboard new suppliers

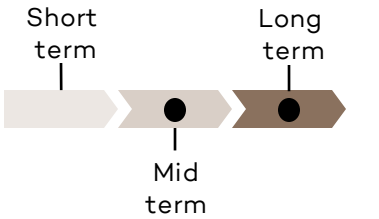
Approach

1. Assess current qualification process
2. Engage x-functions (quality, engineering)
3. Streamline the qualification process
4. Pilot the revised process
5. Implement and improve

KPIs

Value Creation		Sustainability		Resilience	
	PPC		CO2e		OTIF
	MCP		Circularity rating	X	Avg. Lead Time
X	VAM		CoC adherence	X	Safety stock
	CTG		Supplier risk score	X	% Single-source spend
	ANR				

Implementation timeline



X Value Creation Sustainability Resilience

Negotiations | Re-negotiate prices

Definition

Process of engaging with suppliers to achieve better pricing terms for goods or services. This involves **leveraging factors such as volume, long-term relationships, market conditions, and competition to secure more favorable pricing**. By carefully analyzing supplier offers, understanding market benchmarks, and employing negotiation strategies, businesses can optimize their **purchasing costs and improve overall profitability**.

Example

A manufacturer leverages long-term commitments to negotiate discounted rates on aluminum sourcing, reducing material costs.

Measures / Tools / Activities

- ✓ Apply Advanced Negotiation Concept (ANC),
- ✓ Conduct sequential negotiation
- ✓ Conduct supplier days
- ✓ Conduct parallel negotiation
- ✓ Conduct Mutual benefit negotiations

Impact / Potential

- ✓ Renegotiation of prices due to changed market, competitive conditions and demand.

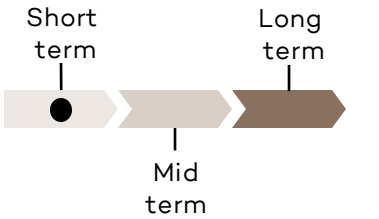
Approach

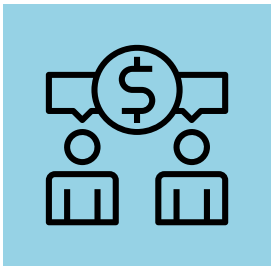
1. Prepare by analyzing supplier data and market conditions
2. Define clear objectives and limits
3. Select negotiation strategy
4. Leverage competition
5. Finalize negotiation and document agreement

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM		CoC adherence		Safety stock
X	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline





X Value Creation Sustainability Resilience

Negotiations | Increase/ maximize competition within negotiations

Definition

Encouraging multiple suppliers to compete for your business during the negotiation process. By involving several potential suppliers, **businesses can create a competitive environment** that drives suppliers to offer their best pricing, terms, and value-added services. This strategy leverages the competitive **pressure to achieve better deals,** as suppliers are motivated **to outperform each other to win the contract.**

Example

A manufacturer engages multiple packaging suppliers in a bidding process, securing the best combination of price, quality, and delivery terms.

Measures / Tools / Activities

- ✓ Apply game theory in negotiations
- ✓ Conduct Collaborative Supplier Day / Supplier Carousel / Supplier workshop
- ✓ Conduct Supplier Convention Day – Innovative approach
- ✓ Conduct Supplier Convention Day – Supply Chain & Logistics
- ✓ Conduct eBidding
- ✓ Conduct eAuction
- ✓ Conduct Expressive Bidding
- ✓ Optimize tender frequency & negotiation calendar

Impact / Potential

- ✓ Increase of the competitive pressure in the negotiation and increase in the gained advantages

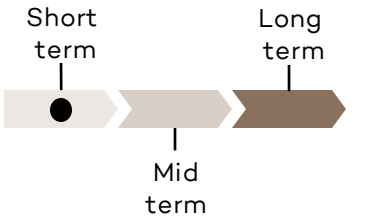
Approach

1. Identify suppliers
2. Prepare negotiation
3. Conduct negotiation
4. Evaluate offers and leverage competition
5. Select the best offer

KPIs

Value Creation	Sustainability	Resilience
X PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	CoC adherence	Safety stock
X CTG	Supplier risk score	% Single-source spend
ANR		

Implementation timeline



X Value Creation Sustainability X Resilience

Negotiations | Allow for/ agree on volume commitments (natural hedging)

Definition

Entering into agreements that guarantee a certain volume of purchases or sales over a specified period. This helps stabilize pricing and **reduce the impact of market fluctuations,** effectively acting as a natural hedge. By committing to consistent volumes, businesses can **negotiate better pricing, reduce uncertainty,** and manage risks related to demand variability, exchange rates, **or price volatility.**

Example

A chain commits to a fixed annual purchase volume with a laundry service provider, negotiating better rates and ensuring service availability during peak seasons.

Measures / Tools / Activities

- ✓ Establish forward planning and sourcing (also lifetime planning)
- ✓ Negotiate

Impact / Potential

- ✓ Achievement of volume discounts by increasing and committing to purchasing volumes or capacities
- ✓ Hedging of material prices or currency effects
- ✓ Reduction of material shortages

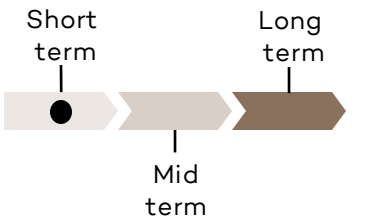
Approach

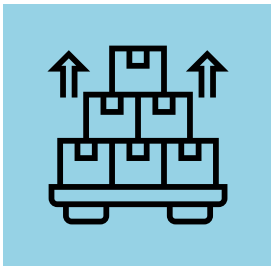
1. Analyze demand and supply stability
2. Engage with key suppliers
3. Negotiate agreements
4. Implement and monitor demand
5. Review and adjust agreement

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
X	VAM		CoC adherence	X	Safety stock
	CTG		Supplier risk score		% Single-source spend
X	ANR				

Implementation timeline





X Value Creation Sustainability X Resilience

Negotiations | Include back-to-back clauses and terms in contracts

Definition

Aligning the terms and conditions in supplier agreements with those of customer contracts. **This ensures that obligations, responsibilities, and risks** (such as delivery timelines, quality standards, or penalties) are **mirrored in both supplier and customer contracts**. By using back-to-back clauses, companies can transfer risks and requirements from their customer agreements down the supply chain, **minimizing exposure to potential liabilities** and **ensuring consistency across contracts**.

Example

A service provider mirrors service-level agreements (SLAs) with subcontractors to match customer expectations, preventing misalignment in performance commitments.

Measures / Tools / Activities

- ✓ Analyze client and supplier contracts
- ✓ Harmonize contracts
- ✓ Create back-to-back agreements

Impact / Potential

- ✓ Minimization of risks from poor supplier performance by passing on obligations from customer contracts to suppliers
- ✓ Reduction of risk budget
- ✓ Improvement of Service Level Agreements; improvement of delivery reliability

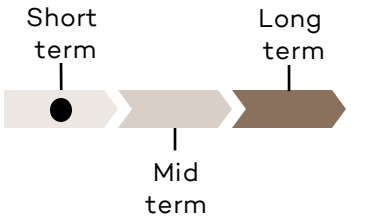
Approach

1. Analyze customer contracts
2. Identify key clauses and risks
3. Create standard clauses for supplier contracts
4. Negotiate and implement
5. Monitor and enforce compliance

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e	X	OTIF
	MCP		Circularity rating	X	Avg. Lead Time
	VAM		CoC adherence		Safety stock
	CTG		Supplier risk score		% Single-source spend
X	ANR				

Implementation timeline



X Value Creation Sustainability X Resilience

Negotiations | Include price adjustments/ pricing formulars into contracts

Definition

Incorporating predefined **mechanisms into supplier contracts** that allow for the adjustment of prices based on certain variables, such **as fluctuations in raw material costs, energy** or **currency exchange rates**. These pricing formulas ensure that prices remain fair and reflective of market conditions over time. This approach helps both parties manage risk and maintain stable, transparent pricing.

Example

A freight company includes fuel surcharge adjustments in its contracts, allowing shipping costs to vary based on fuel price changes, maintaining cost transparency.

Measures / Tools / Activities

- ✓ Conduct rating analysis
- ✓ Negotiate clauses and pricing formulars

Impact / Potential

- ✓ Agreement on price development / adjustment according to market price indicators and / or add price adjustment / escalation clauses and pricing formulas
- ✓ Direct utilization of cost advantages in the event of changed market conditions

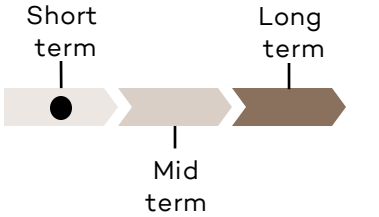
Approach

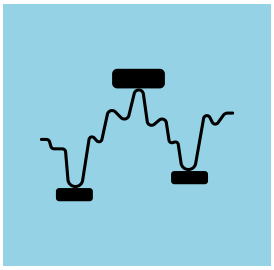
1. Identify key cost drivers and risks
2. Chose proper price indices
3. Negotiate with supplier
4. Implement escalation clauses in contracts
5. Monitor and review

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e		OTIF
	MCP		Circularity rating	X	Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline





X Value Creation X Sustainability X Resilience

Negotiations | Include performance related price clauses into contracts

Definition

Structuring supplier agreements so that pricing is tied to specific performance metrics. These clauses adjust prices based on the supplier's ability to **meet or exceed agreed-upon benchmarks, such as delivery times, quality standards, ESG metrics or service levels**. Performance-related pricing can include **incentives for exceeding targets** or **penalties for underperformance**.

Example

A manufacturer ties supplier payments to on-time delivery rates, offering bonuses for early deliveries and penalties for delays to ensure production schedules stay on track.

Measures / Tools / Activities

- ✓ Negotiate prices & contracts
- ✓ Agree on ESG-related performance metrics (knock-out criteria, bonus/malus, etc.)
- ✓ Agree on resilience-related performance metrics (inventory levels, operational downtime, service level agreements, availability)

Impact / Potential

- ✓ Agreement on performance-related bonuses/maluses in services, efficiency increases in processes over time, cost reductions in products (productivity gains)
- ✓ Increase of supplier ESG performance
- ✓ Improvement of delivery performance and reliability

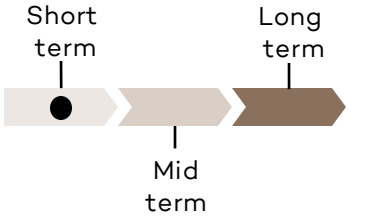
Approach

1. Identify performance drivers
2. Chose KPIs and targets
3. Negotiate with supplier
4. Implement clauses in contracts
5. Monitor and review

KPIs

Value Creation		Sustainability		Resilience	
X	PPC	X	CO2e	X	OTIF
	MCP		Circularity rating	X	Avg. Lead Time
	VAM	X	CoC adherence	X	Safety stock
	CTG	X	Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



X Value Creation Sustainability Resilience

Negotiations | Right size contract duration

Definition

Optimizing the length of supplier contracts to balance flexibility, cost savings, and security of supply. By adjusting contract duration to fit specific business needs, companies can secure more favorable terms. **Shorter contracts may offer flexibility in adapting to changing market conditions,** while longer **contracts can lock in better pricing or guarantee supply stability**..

Example

A company opts for a short-term SaaS (Software-as-a-Service) contract for cloud storage to maintain flexibility in adapting to evolving technology and pricing models.

Measures / Tools / Activities

- ✓ Negotiate contracts

Impact / Potential

- ✓ Quicker reaction to changing market conditions by avoiding excessively long contract terms
- ✓ Avoidance of additional purchases on the spot market at higher prices via sufficiently long terms
- ✓ Long-term agreements (LTA) to give the supplier security for the Business case calculation for investments or new developments that have a positive impact on the price

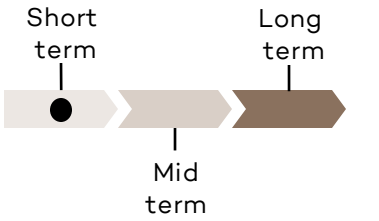
Approach

1. Assess current contracts and business requirements
2. Evaluate market volatility
3. Engage with internal stakeholders
4. Negotiate with suppliers
5. Monitor and adjust if necessary

KPIs

Value Creation	Sustainability	Resilience
X PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	CoC adherence	Safety stock
CTG	Supplier risk score	% Single-source spend
ANR		

Implementation timeline



X Value Creation Sustainability Resilience

Negotiations | Negotiate open book/ supplier margin contracts

Definition

A procurement strategy where the supplier transparently shares detailed cost breakdowns with the buyer. **This includes raw material costs, labor, overhead, and profit margins**. By having access to this information, the buyer can negotiate more effectively, ensuring that the pricing reflects **actual costs plus a fair margin,** rather than inflated prices.

Example

A manufacturer requires its component supplier to disclose raw material and production costs, ensuring pricing aligns with market rates and preventing overcharges.

Measures / Tools / Activities

- ✓ Create / request cost breakdowns
- ✓ Negotiate / agree on cost optimizations for cost drivers

Impact / Potential

- ✓ Agreement on open book calculations
- ✓ Optimization of cost drivers while margin of the supplier remains unaffected
- ✓ Joint improvement of competitiveness

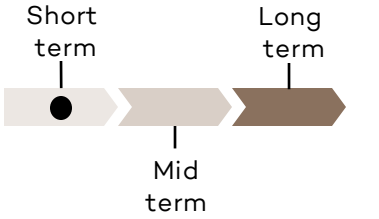
Approach

1. Identify suitable suppliers
2. Establish trust and align objectives
3. Request/create cost breakdowns
4. Negotiate cost improvements
5. Agree on terms and monitor progress

KPIs

Value Creation	Sustainability	Resilience
X PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	CoC adherence	Safety stock
CTG	Supplier risk score	% Single-source spend
ANR		

Implementation timeline



X Value Creation Sustainability Resilience

Negotiations | Extend/ shorten payment terms

Definition

Negotiating the timing of payments to suppliers to optimize cash flow and working capital. **Extending payment terms** allows a company to delay payments to suppliers, which can improve liquidity and cash flow management. **Shortening payment terms**, on the other hand, can benefit suppliers by providing them quicker payments, which might result in better pricing or more favorable contract terms in return. The goal is to align payment terms with the company's financial strategy while maintaining healthy supplier relationships.

Example

A manufacturer extends payment terms from 60 to 90 days with its metal suppliers to improve its own cash flow.

Measures / Tools / Activities

- ✓ Negotiate contracts

Impact / Potential

- ✓ Reduction of total costs if costs of cash exceed price reductions,
- ✓ Reduction of total costs if price reductions exceed costs of cash

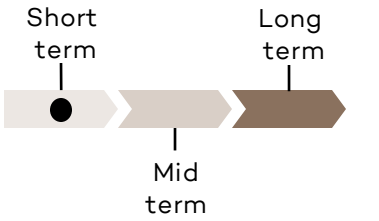
Approach

1. Negotiate contracts
2. Segment suppliers based on strategic importance
3. Engage with suppliers
4. Negotiate
5. Agree on terms and monitor

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM		CoC adherence		Safety stock
	CTG		Supplier risk score		% Single-source spend
X	ANR				

Implementation timeline



X Value Creation Sustainability Resilience

Negotiations | Claw back expenses

Definition

The process of recovering funds that have already been paid out, often through renegotiations or re-evaluations of contracts or past transactions. This lever focuses on identifying areas where **overpayments**, **incorrect charges, or inefficiencies have occurred and working to reverse them**. It typically involves auditing past spending, contracts, and supplier relationships to reclaim costs that were improperly incurred.

Example

A manufacturer audits past invoices for composite materials and identifies overcharges due to incorrect pricing formulas, successfully reclaiming excess payments from the supplier.

Measures / Tools / Activities

- ✓ Establish active Claim Management
- ✓ Establish indexation of raw materials in contracts
- ✓ Negotiate terms and conditions

Impact / Potential

- ✓ Possibility of claiming damages/expenses for raw material

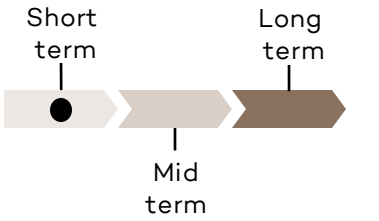
Approach

1. Identify and prioritize target areas
2. Conduct detailed audits
3. Engage suppliers for clarification or negotiation
4. Formalize Recovery Actions
5. Implement Monitoring and Prevention Measures

KPIs

Value Creation	Sustainability	Resilience
PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	CoC adherence	Safety stock
CTG	Supplier risk score	% Single-source spend
X ANR		

Implementation timeline



X Value Creation X Sustainability Resilience

Negotiations | Right size warranty and liability terms

Definition

Optimizing the contractual terms related to **warranties and liabilities with suppliers** to ensure they are **fair, balanced, and aligned with the organization's operational and financial needs**. This lever focuses on negotiating terms that adequately protect the organization from risks such as defective goods, delays, or non-performance, without imposing excessive or unnecessary obligations on the supplier.

Example

A company adjusts liability clauses in its cloud service provider contract, capping financial penalties to align with actual risk exposure while maintaining strong service guarantees.

Measures / Tools / Activities

- ✓ Define optimum of external risk coverage level by a x-functional team

Impact / Potential

- ✓ Reduction of supplier costs due to reduced risk to be covered by supplier
- ✓ Reduction of sustainability related risks from non-performance/compliance like for example violation of supplier code of conduct

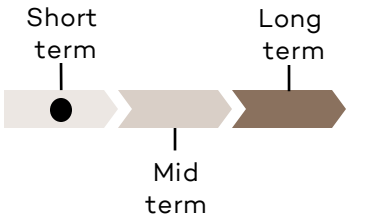
Approach

1. Assess terms and conditions in supplier contracts
2. Define optimal terms based on risks
3. Engage suppliers in negotiation
4. Integrate tailored terms into contracts
5. Monitor and evaluate contract performance

KPIs

Value Creation		Sustainability		Resilience	
	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM	X	CoC adherence		Safety stock
	CTG	X	Supplier risk score		% Single-source spend
X	ANR				

Implementation timeline



X Value Creation Sustainability Resilience

F&SC Processes | Reduce risks of raw material purchases by taking opposite positions in related assets

Definition

Mitigating price volatility risks in raw material purchases by using financial instruments such as **futures, options, or swaps**. By taking opposite positions in related assets or markets, companies can **offset potential price fluctuations and protect against unfavorable changes in raw material costs**. This strategy ensures more stable procurement costs and reduces financial exposure:

Example

A manufacturer uses aluminum futures contracts to lock in stable pricing, protecting against raw material cost fluctuations.

Measures / Tools / Activities

- ✓ Establish planning process
- ✓ Establish hedging of Materials and Currencies

Impact / Potential

- ✓ Avoidance of price peaks for listed raw materials (aluminum, copper, zinc) by taking an opposite position in related assets

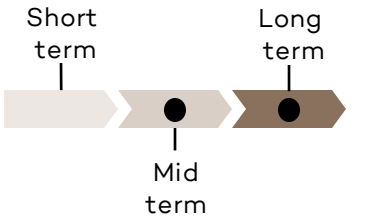
Approach

1. Assess exposure to raw material price volatility
2. Select appropriate hedging instruments
3. Establish hedging strategy
4. Execute hedge positions
5. Monitor and adjust the hedges

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM		CoC adherence		Safety stock
	CTG		Supplier risk score		% Single-source spend
X	ANR				

Implementation timeline



X Value Creation X Sustainability X Resilience

F&SC Processes | Leverage external supply chain finance

Definition

The use of third-party financial services to optimize cash flow and working capital throughout the supply chain. This strategy involves engaging external financial institutions to **offer early payment options** to suppliers on behalf of the buyer, while the buyer benefits from extended payment terms. Suppliers **receive faster access to cash**, improving their liquidity, while buyers can manage their cash flow more efficiently without straining their relationships with suppliers. This creates a win-win situation by **reducing financial pressure for both parties**. Additionally, sustainable operations and concrete sustainability strategies can unlock green financing eligibility.

Example

A manufacturer partners with a financial institution to offer early payments to component suppliers, improving their liquidity while the manufacturer maintains extended payment terms.

Measures / Tools / Activities

- ✓ Evaluate Supply Chain Finance options
- ✓ Evaluate pre-financing/own procurement of raw materials

Impact / Potential

- ✓ Reduction of working capital/ DPO (days payable outstanding)
- ✓ Development of models with own capital providers for suppliers, Payment (factoring),
- ✓ Financial stabilization / support for supply chain

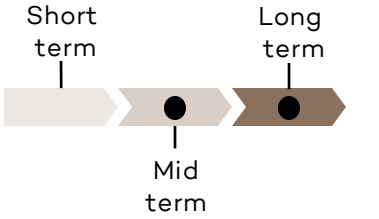
Approach

1. Current cash flow and supply chain needs
2. Select supply chain finance provider
3. Engage suppliers and communicate benefits
4. Implement the program
5. Monitor and optimize

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
	CTG		Supplier risk score		% Single-source spend
X	ANR				

Implementation timeline



X Value Creation Sustainability X Resilience

F&SC Processes | Purchase (additional) supplier capacity

Definition

Securing increased production capacity from existing or new suppliers to meet rising demand or **ensure continuity of supply**. This lever is used to prevent supply shortages or reduce lead times by negotiating with suppliers to expand their production capabilities, allocate more resources, or prioritize orders. It can include investing in a supplier's production capabilities, reserving **capacity through long-term agreements,** or onboarding additional suppliers to diversify supply sources.

Example

A manufacturer secures additional production lines at a contract manufacturing organization (CMO) to scale up output during high-demand periods.

Measures / Tools / Activities

- ✓ Purchase machine hours / load (ramp-up, or protect vs. competitor products/demand)

Impact / Potential

- ✓ Improvement of availability of resources / dedicated and secured capacities at the supplier site (machine capacity etc.)
- ✓ Reduction of supply risk by securing critical supplier capacities

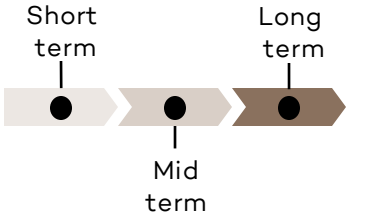
Approach

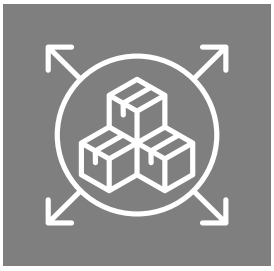
1. Assess current and future capacity needs
2. Identify suppliers for capacity expansion
3. Negotiate terms for capacity expansion
4. Secure capacity though contracts
5. Monitor suppler capacity ramp-up and utilization

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e	X	OTIF
	MCP		Circularity rating	X	Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
X	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline





X Value Creation Sustainability X Resilience

F&SC Processes | Invest in CAPEX at supplier(s)

Definition

Providing financial support or resources to a supplier to help them increase their capital expenditures (CAPEX) for enhancing their production capabilities. This can include funding **new equipment, expanding facilities, or upgrading technology to improve capacity**, **efficiency**, **or quality**. By investing in your supplier's infrastructure, you can secure long-term benefits such as increased **production capacity, reduce costs and lead time**.

Example

A manufacturer co-funds new CNC machines at a Tier 2 supplier to improve precision manufacturing and reduce lead times for critical components.

Measures / Tools / Activities

- ✓ Acquire machines and tools (property of the OEM or tier1) to build up capacities at supplier/s

Impact / Potential

- ✓ Possibility to switch suppliers, protection in the event of insolvency of the supplier, reduction of dependencies
- ✓ Reduction of costs due to higher efficiency
- ✓ Improvement of quality
- ✓ Reduction of supply risk by securing critical supplier capacities

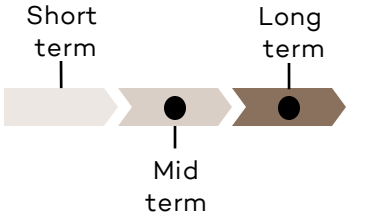
Approach

1. Identify suppliers and requirements
2. Evaluate potential ROI
3. Negotiate investment terms
4. Formalize the investment agreement
5. Monitor implementation and performance

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e	X	OTIF
	MCP		Circularity rating	X	Avg. Lead Time
	VAM		CoC adherence	X	Safety stock
	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



X Value Creation Sustainability Resilience

F&SC Processes | Outsource procurement process(es)

Definition

The strategy of transferring specific procurement functions or the entire procurement process to an external service provider. This lever aims to improve efficiency, reduce costs, and leverage the expertise of **third-party specialists in procurement**. By outsourcing, companies can focus on core business activities while benefiting from the external provider's **economies of scale, advanced technologies, and market knowledge**.

Example

A global retailer contracts a procurement BPO (Business Process Outsourcing) firm to manage indirect spend categories like office supplies and facility services, reducing internal workload and costs.

Measures / Tools / Activities

- ✓ Implement C-Parts Management
- ✓ Conduct ABC-XYZ-Analysis
- ✓ Establish (Business) Process Outsourcing

Impact / Potential

- ✓ Utilization of the cost advantages of an external service provider e.g., for the sourcing, and handling of C-parts management

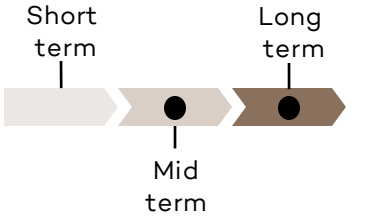
Approach

1. Identify procurement processes for suitable outsourcing
2. Select the right partner
3. Define clear objectives and scope
4. Implement the transition plan
5. Monitor performance and optimize

KPIs

Value Creation	Sustainability	Resilience
PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
X VAM	CoC adherence	Safety stock
CTG	Supplier risk score	% Single-source spend
ANR		

Implementation timeline



X Value Creation Sustainability X Resilience

F&SC Processes | Streamline delivery processes and concepts

Definition

Optimizing the flow of goods from production to end-users by improving transportation, warehousing, and distribution activities. This lever focuses on **enhancing efficiency, reducing lead times, and minimizing costs associated** with delivering products to customers. It may involve consolidating shipments, optimizing delivery routes, implementing automation in warehousing, or adopting just-in-time delivery models.

Example

A manufacturer implements JIT delivery for critical components, reducing inventory costs and improving production efficiency.

Measures / Tools / Activities

- ✓ Implement alternative delivery concepts like JIT (just-in-time), JIS (just-in-sequence), Mill-run-delivery and replenishment models
- ✓ Agree on consignment stocks

Impact / Potential

- ✓ Reduction of warehousing and logistics costs through adapted processes
- ✓ Reduction of lead times

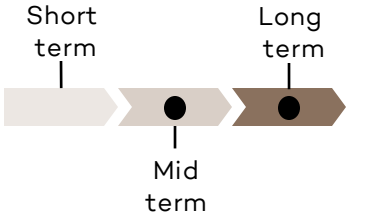
Approach

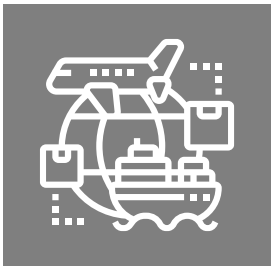
1. Assess current delivery process
2. Identify optimization areas
3. Implement technology and process improvements
4. Enhance collaboration with logistic partners
5. Monitor performance and optimize

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e	X	OTIF
	MCP		Circularity rating	X	Avg. Lead Time
X	VAM		CoC adherence	X	Safety stock
X	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline





X Value Creation Sustainability X Resilience

F&SC Processes | Improve manuf. and logistics processes at supplier(s) (supplier development)

Definition

Collaborating with suppliers **to enhance their production and logistics efficiency**. This lever focuses on **identifying and addressing inefficiencies in their operations** to improve lead times, quality, cost, and delivery performance. It often includes sharing best practices, providing technical support, or co-developing solutions to strengthen the overall supply chain.

Example

A global retailer collaborates with a packaging supplier to optimize warehouse automation, speeding up order fulfilment and lowering logistics costs.

Measures / Tools / Activities

- ✓ Perform Lean Manufacturing improvements at supplier/s (e.g., cycle time optimization, reduction of rejects, increase of OEE (overall equipment effectiveness), multi-machine operation, use of other machines)
- ✓ Analyze supplier value chain/stream on site

Impact / Potential

- ✓ Reduction of supplier manufacturing / logistics costs and in turn reduction of direct product costs
- ✓ Improvement of delivery performance

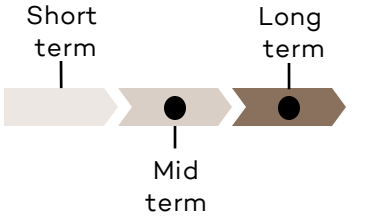
Approach

1. Assess supplier performance
2. Set collaborative improvement goals
3. Provide support and resources
4. Implement and track progress
5. Review and continuously improve

KPIs

Value Creation		Sustainability		Resilience	
X	PPC		CO2e	X	OTIF
	MCP		Circularity rating	X	Avg. Lead Time
X	VAM		CoC adherence	X	Safety stock
X	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



X Value Creation Sustainability Resilience

F&SC Processes | Ensure compliance with category strategy and supplier selection

Definition

Aligning procurement activities, particularly supplier selection and management, with the overall category strategy set by the organization. This lever ensures that all **purchasing decisions and supplier engagements follow predefined strategic goals**, such as cost efficiency, quality standards, sustainability objectives, or risk management. By enforcing compliance, companies ensure consistency in sourcing, optimize supplier relationships, and maximize the strategic value of procurement decisions across the organization.

Example

A multinational corporation centralizes software procurement under pre-approved vendors to align with its IT category strategy, ensuring cybersecurity compliance and cost control.

Measures / Tools / Activities

- ✓ Adhere to category strategy
- ✓ Implement Preferred Supplier Compliance
- ✓ Establish Binding Procurement Processes
- ✓ Reduce Maverick Buying

Impact / Potential

- ✓ Avoidance of purchases at different prices and conditions (also from non-focus/-negotiated suppliers)

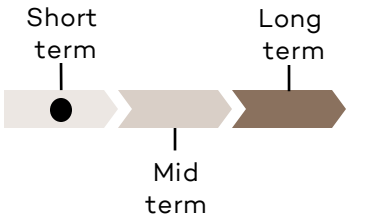
Approach

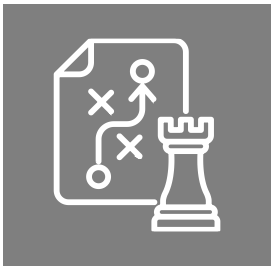
1. Develop and communicate procurement strategy
2. Define supplier selection criteria aligned with strategy
3. Implement a structured process
4. Monitor process
5. Review and continuously improve

KPIs

Value Creation	Sustainability	Resilience
X PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	CoC adherence	Safety stock
X CTG	Supplier risk score	% Single-source spend
ANR		

Implementation timeline





Value Creation | X Sustainability | Resilience

ESG- Environmental | Reduce Scope 1, 2, and 3 emissions

Definition

The strategy of minimizing greenhouse gas emissions across all three scopes: **Scope 1 (Direct Emissions):** Emissions from sources that are directly owned or controlled by the organization, such as fuel combustion in company vehicles or machinery. **Scope 2 (Indirect Emissions from Energy Use):** Emissions resulting from the generation of purchased electricity, steam, heating, and cooling consumed by the organization. **Scope 3 (Other Indirect Emissions):** Emissions that occur across the value chain, including those from suppliers

Example

Scope 1&2: switching to 100% electric vehicle fleet and 100% renewable energy at own sites

Scope 3: a manufacturer selects suppliers that use a large share of renewable energy for production processes

Measures / Tools / Activities

- ✓ Improve energy or material efficiency and reduce consumption
- ✓ Switch fuels
- ✓ Use renewable energy
- ✓ Phase out or substitute product and process
- ✓ Implement GHG (greenhouse gas) removal and storage
- ✓ Implement offsets via carbon credits
- ✓ Purchase alternative, lower emissions, products, services and machines

Impact / Potential

- ✓ CO2e reduction
- ✓ Avoidance of costs stemming from carbon credits and fines
- ✓ Improvement of customer perception and potentially increase of product competitiveness
- ✓ Adherence to sustainability targets

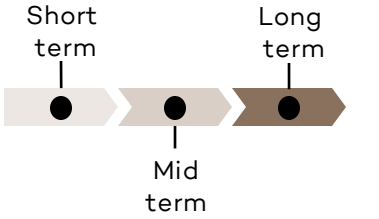
Approach

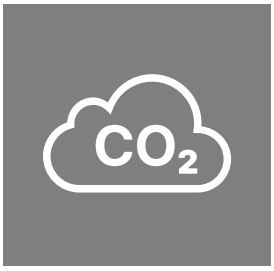
1. Gather data and measure emissions
2. Interpret the emission data
3. Set a clear reduction goal and implement reduction strategies
4. Monitor process
5. Review, optimize and communicate

KPIs

Value Creation		Sustainability		Resilience	
	PPC	X	CO2e		OTIF
	MCP	X	Circularity rating		Avg. Lead Time
	VAM		CoC adherence		Safety stock
	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline





Value Creation | X Sustainability | Resilience

ESG- Environmental | Reduce air pollution tied to operations (non GHG)

Definition

Focuses on **minimizing non-greenhouse gas pollutants** like particulate matter, nitrogen oxides, sulfur oxides, and volatile organic compounds (VOCs) generated by business activities. This is achieved through cleaner technologies, fuel choices, and process improvements to improve air quality and meet environmental regulations.

Example

A coatings manufacturer switches to low-VOC solvents in its production process, reducing emissions of harmful air pollutants.

Measures / Tools / Activities

- ✓ Employ more and better filtering mechanism
- ✓ Monitor emissions
- ✓ Set air pollution targets
- ✓ Ensure proper combustion of fuel
- ✓ Participate in industry alliances (e.g. alliance for clean air)

Impact / Potential

- ✓ Reduction of directly emitted particulate matter, e.g., Black Carbon, Organic Carbon, Sulphur Dioxide, Nitrogen Oxides, Ammonia, Non- Methane Volatile Organic Compounds, and Carbon Monoxide

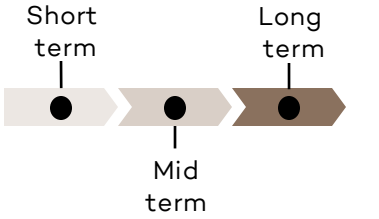
Approach

1. Identify major pollution sources
2. Set pollution reduction goals
3. Implement pollution control technologies
4. Monitor emissions and compliance
5. Review and optimize

KPIs

Value Creation	Sustainability	Resilience
PPC	X CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	CoC adherence	Safety stock
CTG	Supplier risk score	% Single-source spend
ANR		

Implementation timeline



Value Creation | X Sustainability | Resilience

ESG- Environmental | Reduce pollution of water

Definition

Minimizing contaminants and harmful substances that are released into water bodies because of an organization's operations. This lever focuses **on preventing water pollution** by controlling and treating wastewater, reducing the use of harmful chemicals, improving process efficiency, and managing runoff. The goal is to protect water quality, comply with environmental regulations, and reduce the organization's impact on local ecosystems and communities.

Example

A manufacturer switches to waterless dyeing technology, eliminating chemical runoff from traditional fabric dyeing processes.

Measures / Tools / Activities

- ✓ Reduce waste produced so that the wastewater contaminants are reduced
- ✓ Change the composition of products to reduce waste
- ✓ Reduce or eliminate dangerous materials used in production
- ✓ Adopt waste management system/waste minimization programs/waste segregation
- ✓ Recycle water through water treatment before releasing into nature
- ✓ Employ effective water treatment plants

Impact / Potential

- ✓ Reduction of impact of industrial operations on water quality (hazardous chemicals and metals contaminating water sources

Approach

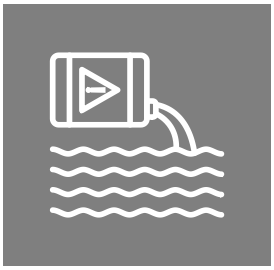
1. Assess water usage and pollution sources
2. Set water pollution reduction goals
3. Implement water treatment and control technologies
4. Monitor water quality discharges
5. Optimize and innovate for continuous improvement

KPIs

Value Creation	Sustainability	Resilience
PPC	X CO2e	OTIF
MCP	X Circularity rating	Avg. Lead Time
VAM	CoC adherence	Safety stock
CTG	Supplier risk score	% Single-source spend
ANR		

Implementation timeline

Short term | Mid term | Long term



Value Creation | X Sustainability | Resilience

ESG- Environmental | Reduce pollution of soil

Definition

Minimizing the release of harmful chemicals, hazardous waste, or contaminants into the soil as a result of industrial or operational activities. This lever focuses on **preventing soil degradation and contamination** by managing hazardous materials, reducing spills and leaks, properly disposing of waste, and adopting cleaner production processes. The goal is to protect land quality, ensure safe agricultural practices, and comply with environmental regulations.

Example

A producer replaces synthetic pesticides with biodegradable (microbial) alternatives, reducing soil contamination and improving long-term soil quality.

Measures / Tools / Activities

- ✓ Reduce waste produced to reduce number of contaminants (e.g., proper recycling)
- ✓ Change composition of products to reduce waste
- ✓ Reduce or eliminate dangerous materials used in production
- ✓ Adopt waste management system/waste minimization programs/waste segregation
- ✓ Improve water treatment

Impact / Potential

- ✓ Improvement of quality of soil by eliminating harmful substances (e.g. chemicals, pesticides, fertilizers)

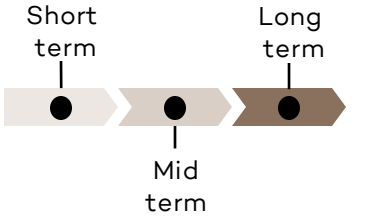
Approach

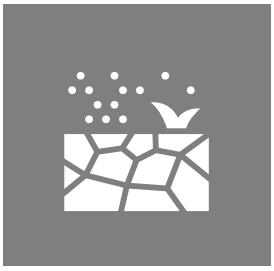
1. Identify sources of soil pollution
2. Set soil pollution reduction targets
3. Implement preventive measures
4. Monitor soil health and pollution levels
5. Review and improve pollution prevention efforts

KPIs

Value Creation		Sustainability		Resilience	
	PPC	X	CO2e		OTIF
	MCP	X	Circularity rating		Avg. Lead Time
	VAM		CoC adherence		Safety stock
	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline





Value Creation | X Sustainability | Resilience

ESG- Environmental | Reduce water withdrawals/ discharges

Definition

Minimizing the amount of water extracted from natural sources and the volume of wastewater discharged back into the environment. This lever aims to promote sustainable water use by optimizing water consumption in operations, improving water recycling, and ensuring that any discharged water is treated to meet environmental standards.

Example

A manufacturer installs a closed-loop water recycling system, reducing freshwater withdrawals and wastewater discharge in production and installs seawater desalination plants in water scarce regions

Measures / Tools / Activities

- ✓ Monitor water consumption and set reduction targets
- ✓ Identify and eliminate water leaks
- ✓ Provide water conservation education
- ✓ Employ water saving technologies
- ✓ Recycle water (grey water)
- ✓ Avoid business & operations in water stressed areas
- ✓ Utilize desalination plants

Impact / Potential

- ✓ Reduction of (fresh) water consumption and associated costs
- ✓ Reduction of risk related to water stress: physical, regulatory, reputational, and stakeholder

*__note__: water stress is considered a risk multiplier

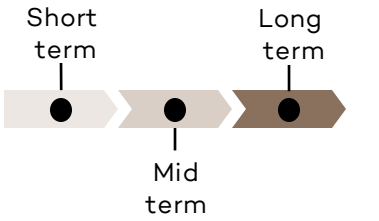
Approach

1. Assess current water usage and discharges
2. Set water reduction and recycling goals
3. Implement water saving technologies
4. Enhance wastewater treatment systems
5. Monitor, measure, and optimize

KPIs

Value Creation	Sustainability	Resilience
PPC	X CO2e	OTIF
MCP	X Circularity rating	Avg. Lead Time
VAM	CoC adherence	Safety stock
CTG	Supplier risk score	% Single-source spend
ANR		

Implementation timeline



X Value Creation X Sustainability Resilience

ESG- Environmental | Reduce and rethink inflow (use) of resource

Definition

Optimizing the use of materials, energy, labor, and other inputs during production or service delivery to reduce costs. This lever focuses on increasing efficiency, minimizing waste, and improving processes to lower the overall resource consumption while maintaining or improving output quality.

Example

A company switches to thinner but stronger plastic for bottles, reducing material usage while maintaining durability and lowering costs.

Measures / Tools / Activities

- ✓ Use less resources (energy, water, etc.) in product design
- ✓ Optimize product shape and size for sustainability (Design to sustainability)
- ✓ Optimize processes for sustainability
- ✓ Reduce / eliminate packaging
- ✓ Adapt product design to enable circularity

Impact / Potential

- ✓ Fewer resource usage to produce a product/service (aim of reducing cost)
- ✓ Reduction of waste

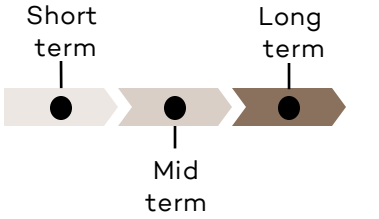
Approach

1. Conduct a resource usage audit
2. Set resource reduction targets
3. Implement process improvements
4. Monitor progress
5. Continuous improve and optimize

KPIs

Value Creation		Sustainability		Resilience	
	PPC	X	CO2e		OTIF
X	MCP	X	Circularity rating		Avg. Lead Time
	VAM		CoC adherence		Safety stock
	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



X Value Creation X Sustainability Resilience

ESG- Environmental | Reduce and reuse outflow of resources (waste management)

Definition

Minimizing the waste generated by an organization's operations and finding ways to reuse materials that would otherwise be discarded. This lever focuses on improving waste management practices by reducing resource outflow through process optimization, material recycling, and repurposing waste products. The goal is to lower disposal costs, reduce environmental impact, and enhance resource efficiency by treating waste as a potential resource.

Example

A manufacturer recycles machining scraps into production of products with less stringent specifications, reducing raw material waste and lowering disposal costs

Measures / Tools / Activities

- ✓ Recycle
- ✓ Reduce
- ✓ Repurpose
- ✓ Monitor waste
- ✓ Set resource utilization targets
- ✓ Optimize product shape and size for sustainability (Design to sustainability)
- ✓ Optimize processes
- ✓ Reduce/eliminate packaging
- ✓ Establish Life-cycle-assessments (LCAs)

Impact / Potential

- ✓ Reduction of the amount of waste generated in the production process

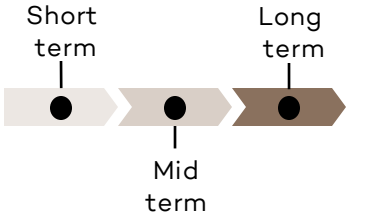
Approach

1. Assess current waste streams
2. Set waste reduction targets
3. Implement waste reduction & reuse strategies
4. Engage in recycling & circular economy Practices
5. Monitor and continuously improve

KPIs

Value Creation		Sustainability		Resilience	
	PPC	X	CO2e		OTIF
X	MCP	X	Circularity rating		Avg. Lead Time
	VAM		CoC adherence		Safety stock
	CTG		Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



Value Creation | X Sustainability | Resilience

ESG- Social | Ensure human and labor rights internally and at suppliers

Definition

The commitment to uph**old and protect the fundamental rights of all workers involved in an organization's operations and supply chain**. This lever focuses on ensuring fair wages, safe working conditions, the right to collective bargaining, freedom from forced labor, and the elimination of child labor. Organizations must comply with international labor standards and human rights laws, and often work to monitor, assess, and improve working conditions across their operations and supplier networks.

Example

A brand conducts onsite audits of its raw material suppliers to ensure compliance with fair wages, safe working conditions, and child labor prohibitions.

Measures / Tools / Activities

- ✓ Ensure bargaining agreements
- ✓ Establish workers councils
- ✓ Conduct regular audits and assessments of suppliers
- ✓ Provide training for suppliers on ethical labor practices and human rights
- ✓ Implement a grievance mechanism for workers to report violations anonymously
- ✓ Collaborate with suppliers to develop and implement corrective action plan
- ✓ Promote transparency by encouraging suppliers to publicly report on their behaviors
- ✓ Support suppliers in adopting sustainable and socially responsible practices

Impact / Potential

- ✓ Performance assurance beyond compliance with regards to human and labor rights

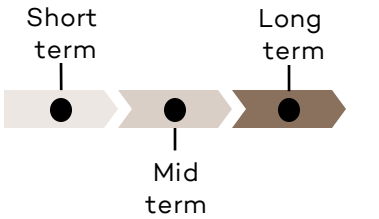
Approach

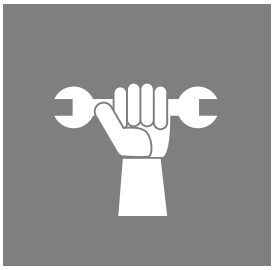
1. Assess current human and labor rights practices
2. Establish clear policies and standards
3. Engage and train employees and suppliers
4. Monitor compliance and conduct audits
5. Address violations

KPIs

Value Creation	Sustainability	Resilience
PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	X CoC adherence	Safety stock
CTG	X Supplier risk score	% Single-source spend
ANR		

Implementation timeline





Value Creation | X Sustainability | Resilience

ESG- Social | Improve health and safety performance

Definition

Enhancing the practices, systems, and standards that protect employees and stakeholders from workplace injuries, illnesses, and accidents. This lever focuses on **creating a safer working environment** by identifying risks, implementing safety protocols, conducting training, and ensuring compliance with health and safety regulations.

Example

A firm mandates the use of smart PPE (Personal Protective Equipment) with real-time monitoring to detect worker fatigue and prevent accidents on-site.

Measures / Tools / Activities

- ✓ Provide Health & Safety (H&S) training
- ✓ Get Health & Safety certifications
- ✓ Implement Health & Safety management systems
- ✓ Provide personal protective equipment
- ✓ Monitor and adhere to working hours (shifts)
- ✓ Promote a safety culture
- ✓ Provide safety equipment and technology
- ✓ Establish incident reporting and investigations

Impact / Potential

- ✓ Improvement of company H&S performance by reducing risk and accidents (potential to attract and retain more / better workforce especially in dangerous industries)

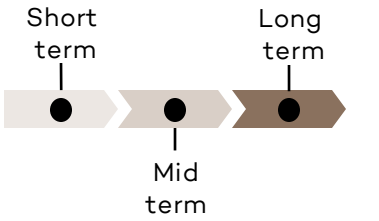
Approach

1. Conduct a health and safety audit
2. Set clear health & safety goals
3. Implement safety protocols / procedures
4. Provide training and promote safety culture
5. Monitor, evaluate, and contiguous improve

KPIs

Value Creation		Sustainability		Resilience	
	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM	X	CoC adherence		Safety stock
	CTG	X	Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



Value Creation | X Sustainability | Resilience

ESG- Social | Promote diversity, equality, and inclusion

Definition

Creating a work environment where people of all backgrounds, identities, and experiences are valued and have equal opportunities. This lever focuses **on ensuring fair treatment, eliminating discrimination, and fostering a culture of respect and belonging.**

Example

A manufacturer contributes to initiatives, trainings or even potentially favors suppliers that meet certain representation thresholds to promote inclusive economic growth.

Measures / Tools / Activities

- ✓ Establish inclusive recruitment practices
- ✓ Provide diversity training programs
- ✓ Establish employee resource groups
- ✓ Provide mentorship programs
- ✓ Establish flexible work policies
- ✓ Implement feedback mechanisms
- ✓ Improve workplace culture

Impact / Potential

- ✓ Improvement of multiple facets like enhancing performance, fostering creativity, improving engagement, enhancing reputation indicators: gender distribution, age group, race, disabilities

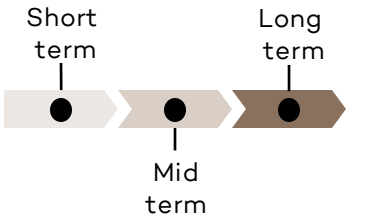
Approach

1. Assess the status
2. Set clear goals and objectives
3. Implement diversity, equality & inclusion programs
4. Promote behavior
5. Monitor progress

KPIs

Value Creation	Sustainability	Resilience
PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	X CoC adherence	Safety stock
CTG	X Supplier risk score	% Single-source spend
ANR		

Implementation timeline



[ ] Value Creation [X] Sustainability [ ] Resilience

ESG- Social | Safeguard equal treatment and opportunities for all

Definition

Ensuring that all employees, regardless of their background, identity, or personal characteristics, are treated fairly and have access to the same opportunities within the organization. This lever focuses on **eliminating discrimination and bias** in areas such as hiring, promotions, salary, compensation, and professional development.

Example

A global manufacturer implements standardized promotion criteria across all plants, ensuring that all employees, regardless of gender or background, have equal access to leadership roles

Measures / Tools / Activities

- ✓ Monitor via regular pay audits
- ✓ Standardize compensation policies
- ✓ Implement transparent pay structures (e.g., salary bands)
- ✓ Provide pay transparency
- ✓ Benchmark salaries for industry
- ✓ Establish formal pay review processes
- ✓ Standardize negotiation practices

Impact / Potential

- ✓ Improvement of employee satisfaction and talent retention/ attraction by ensuring equal pay for equal work

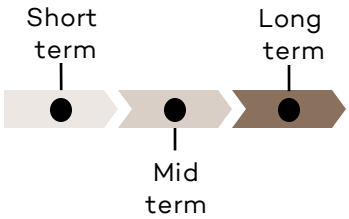
Approach

1. Assess the current policies and practices
2. Establish clear policies
3. Implement bias-free recruitment and development process
4. Training on equal treatment and diversity
5. Monitor progress and adjust

KPIs

Value Creation		Sustainability		Resilience	
	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM	X	CoC adherence		Safety stock
	CTG	X	Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



Value Creation | X Sustainability | Resilience

ESG- Social | Provide training and development

Definition

Offering employees **opportunities to enhance their skills, knowledge, and competencies through structured learning programs**. This lever focuses on improving employee performance, fostering career growth, and aligning workforce capabilities with organizational goals. Training can include technical skills, leadership development, soft skills, and industry-specific knowledge.

Example

A manufacturer trains production workers through an apprenticeship program in advanced composite materials to create a competent workforce and consequently improving manufacturing efficiency and product quality.

Measures / Tools / Activities

- ✓ Provide structured and comprehensive training programs
- ✓ Offer training sessions (online, live)
- ✓ Implement continuous professional development
- ✓ Conduct training needs assessment
- ✓ Provide mentorship/coaching
- ✓ Provide cross training/job rotation opportunities
- ✓ Establish development plans

Impact / Potential

- ✓ Improvement of employee satisfaction and talent retention/ attraction

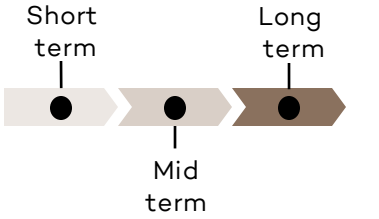
Approach

1. Assess skill gaps and trainings needs
2. Set objectives
3. Design and implement tailored programs
4. Promote programs
5. Monitor progress and adjust

KPIs

Value Creation		Sustainability		Resilience	
	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM	X	CoC adherence		Safety stock
	CTG	X	Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



Value Creation | X Sustainability | Resilience

ESG- Social | Ensure product safety

Definition

The implementation of measures and practices to **guarantee that products are safe for their intended use**, protecting consumers from harm and reducing liability for the organization. This lever involves designing products that comply with safety regulations and standards, conducting rigorous testing, and maintaining quality control throughout the manufacturing process. It also includes monitoring product performance, addressing safety issues promptly, and providing clear usage instructions or warnings. The goal is to prevent accidents, injuries, or health risks, ensuring customer trust and regulatory compliance.

Example

A producer implements end-to-end traceability systems, allowing quick identification and recall of contaminated products to protect consumers from health risks.

Measures / Tools / Activities

- ✓ Conduct FMEA (failure mode and effects analysis)
- ✓ Conduct rigorous product testing
- ✓ Implement strict quality control processes
- ✓ Adhere to safety regulations and standards
- ✓ Provide clear instructions and warnings in user manuals, safety instructions, and labels
- ✓ Monitor and respond to safety incidents

Impact / Potential

- ✓ Reduction of product recalls and related costs
- ✓ Reduction of risk of reputational damage

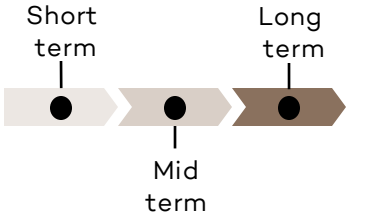
Approach

1. Identify safety standards and regulatory requirements
2. Incorporate safety and FMEA in product design
3. Conduct testing and quality assurance
4. Provide usage instructions and warnings
5. Monitor product performance and safety issues

KPIs

Value Creation		Sustainability		Resilience	
	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM	X	CoC adherence		Safety stock
	CTG	X	Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



Value Creation | X Sustainability | Resilience

ESG- Governance | Avoid business-dealings with sanctioned entities

Definition

Avoiding business dealings with blacklisted & sanctioned companies, individuals, entities, or countries requires ensuring that an organization does not engage in commercial activities with entities or individuals that are subject to legal, regulatory, or governmental restrictions. This lever focuses on complying with international sanctions, trade embargoes, and government-issued blacklists to avoid legal risks, reputational damage, and financial penalties.

Example

A parts supplier integrates a preliminary automated sanction screening into its procurement system to ensure compliance with international trade restrictions on raw material sourcing.

Measures / Tools / Activities

- ✓ Establish risk monitoring via digital tools
- ✓ Conduct supplier engagement/training
- ✓ Conduct supplier audits
- ✓ Compliance screening
- ✓ Establish policies and code of conduct (internal)
- ✓ Establish whistle blowing systems

Impact / Potential

- ✓ Avoidance of risks in terms of criminal law / fines, loss of reputation

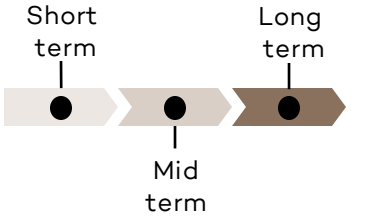
Approach

1. Establish a compliance framework
2. Conduct thorough due diligence
3. Implement a screening process
4. Provide training and sanctions compliance
5. Review compliance regularly

KPIs

Value Creation	Sustainability	Resilience
PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	X CoC adherence	Safety stock
CTG	X Supplier risk score	% Single-source spend
ANR		

Implementation timeline



Value Creation | X Sustainability | Resilience

ESG- Governance | Avoid bribery and corruption

Definition

The implementation of **policies and practices that prevent the offering, giving, receiving, or soliciting of any form of undue advantage** (such as money, gifts, or favors) to influence business decisions or gain unfair advantages. This lever ensures compliance with anti-bribery and anti-corruption laws, such as the Foreign Corrupt Practices Act (FCPA) or the UK Bribery Act and promotes ethical business conduct.

Example

A global company introduces anti-corruption policies and programmes within the organisation. By setting and reinforcing high standards of behaviour as the norm, incidents of non-compliance are reduced and made easier to identify and correct.

Measures / Tools / Activities

- ✓ Establish risk monitoring via digital tools
- ✓ Conduct supplier engagement/training
- ✓ Conduct supplier audits
- ✓ Compliance screening
- ✓ Establish policies and code of conduct (internal)
- ✓ Establish whistle blowing systems

Impact / Potential

- ✓ Avoidance of risks in terms of criminal law/ blackmailing / fines, loss of reputation
- ✓ Avoidance of internal and external legal repercussions
- ✓ Assurance of business continuity with suppliers and customers

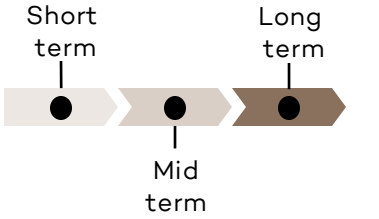
Approach

1. Establish a clear anti-bribery and corruption policy
2. Assess risks
3. Implement internal controls and procedures
4. Provide training and awareness program
5. Monitor, audit and enforce compliance

KPIs

Value Creation	Sustainability	Resilience
PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	X CoC adherence	Safety stock
CTG	X Supplier risk score	% Single-source spend
ANR		

Implementation timeline



Value Creation | X Sustainability | Resilience

ESG- Governance | Avoid conflicts of interest

Definition

Implementing policies and practices that **prevent situations where an individual's personal interests could interfere with their ability to make impartial decisions on behalf of the organization**. This lever focuses on identifying, disclosing, and managing potential conflicts to ensure transparency, fairness, and integrity in business decisions. Examples include personal relationships, financial interests, or outside employment that could influence an employee's professional actions.

Example

A manufacturer requires procurement employees to disclose personal relationships with suppliers to prevent biased supplier selection and ensure fair competition.

Measures / Tools / Activities

- ✓ Establish risk monitoring via digital tools
- ✓ Conduct supplier engagement/training
- ✓ Conduct supplier audits
- ✓ Compliance screening
- ✓ Establish policies and code of conduct (internal)
- ✓ Establish whistle blowing systems

Impact / Potential

- ✓ Avoidance of risks in terms of criminal law/ fines, loss of reputation
- ✓ Avoidance of internal and external legal repercussions
- ✓ Assurance of business continuity with suppliers and customers

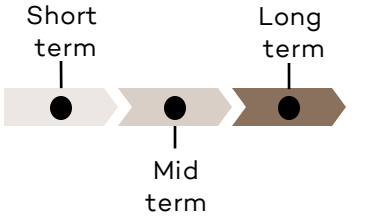
Approach

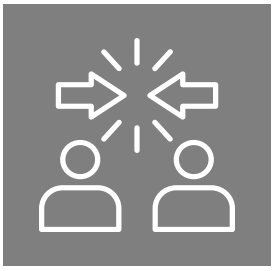
1. Establish a conflict-of-interest policy
2. Promote awareness and understanding
3. Implement a disclosure process
4. Assess and manage disclosed conflicts
5. Monitor and enforce compliance

KPIs

Value Creation		Sustainability		Resilience	
	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM	X	CoC adherence		Safety stock
	CTG	X	Supplier risk score		% Single-source spend
	ANR				

Implementation timeline





Value Creation | X Sustainability | Resilience

ESG- Governance | Avoid money laundering

Definition

Implementing policies, procedures, and controls to **prevent the organization from being used to disguise or "launder" illicit funds as legitimate**. This lever involves identifying and mitigating risks of money laundering activities, complying with anti-money laundering (AML) laws, and conducting due diligence on customers, suppliers, and partners. Measures include monitoring transactions, reporting suspicious activities, and training employees on AML practices.

Example

An institute uses AI-driven transaction monitoring to detect unusual payment patterns and flag potential money laundering activities for regulatory reporting.

Measures / Tools / Activities

- ✓ Establish risk monitoring via digital tools
- ✓ Conduct supplier engagement/training
- ✓ Conduct supplier audits
- ✓ Compliance screening
- ✓ Establish policies and code of conduct (internal)
- ✓ Establish whistle blowing systems

Impact / Potential

- ✓ Avoidance of risks in terms of criminal law/ blackmailing / fines, loss of reputation
- ✓ Avoidance of internal and external legal repercussions
- ✓ Assurance of business continuity with suppliers and customers

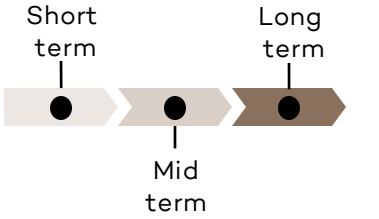
Approach

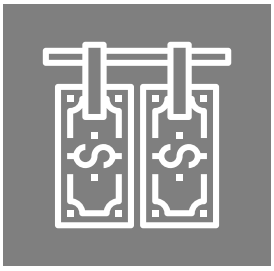
1. Develop and implement a policy
2. Conduct risk assessment
3. Implement a monitoring procedure
4. Provide employee training
5. Report and review suspicious activities

KPIs

Value Creation		Sustainability		Resilience	
	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM	X	CoC adherence		Safety stock
	CTG	X	Supplier risk score		% Single-source spend
	ANR				

Implementation timeline





Value Creation | X Sustainability | Resilience

ESG- Governance | Ensure data protection and cybersecurity

Definition

Safeguarding sensitive data, including customer, financial, and proprietary information, from unauthorized access, breaches, or misuse. This lever focuses on implementing robust cybersecurity and data privacy measures, such as encryption, firewalls, multi-factor authentication, and secure data storage. It ensures compliance with regulations like the GDPR (general data protection regulation) while maintaining data integrity through accurate record-keeping and lifecycle management. Key strategies include monitoring network activity, access control, regular security audits, and employee training to mitigate cyber threats and uphold data privacy standards.

Example

A manufacturer encrypts client data stored in connected devices, ensuring compliance with HIPAA (health insurance portability and accountability act), CCPA (California consumer privacy act), and GDPR regulations.

Measures / Tools / Activities

- ✓ Establish risk monitoring
- ✓ Ensure safety of IT systems
- ✓ Provide cyber security and data protection training
- ✓ Employ qualified IT specialists
- ✓ Establish policies and code of conduct
- ✓ Implement robust data encryption
- ✓ Regularly update privacy policies
- ✓ Conduct data audits and accuracy checks
- ✓ Limit data access and implementing role-based controls
- ✓ Provide customers with data access and correction options

Impact / Potential

- ✓ Avoidance of fines related to data breaches
- ✓ Reduction of risk of reputation loss

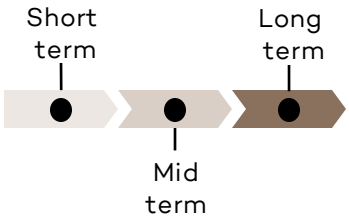
Approach

1. Conduct a cyber security and data handling risk assessment
2. Establish policies and protocols
3. Implement security controls and technologies
4. Train employees
5. Monitor, test, audit, and update security measures

KPIs

Value Creation	Sustainability	Resilience
PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	X CoC adherence	Safety stock
CTG	X Supplier risk score	% Single-source spend
ANR		

Implementation timeline



Value Creation | X Sustainability | Resilience

ESG- Governance | Ensure tax transparency

Definition

The commitment to disclose accurate and complete tax information, **demonstrating that an organization's tax practices comply with legal requirements and ethical standards**. This lever involves openly reporting tax contributions, explaining tax planning strategies, and providing insights into how taxes align with business operations and societal impact. The goal is to maintain transparency with stakeholders, avoid reputational risk, and ensure that taxes are paid fairly and in accordance with applicable laws.

Example

A software company adopts a country-by-country tax reporting system, disclosing revenues, profits, and taxes paid in each jurisdiction to align with OECD (organization for economic co-operation and development) guidelines and prevent tax avoidance concerns.

Measures / Tools / Activities

- ✓ Ensure following all tax policies
- ✓ Establish tax monitoring policies (regular tax audits and reviews)
- ✓ Implement tax reporting (internal)
- ✓ Utilize tax software
- ✓ Implement stakeholder communication and engagement (inform of practices and contributions)
- ✓ Establish tax training
- ✓ Align with global tax standards

Impact / Potential

- ✓ Avoidance of risks in terms of criminal law / fines, loss of reputation

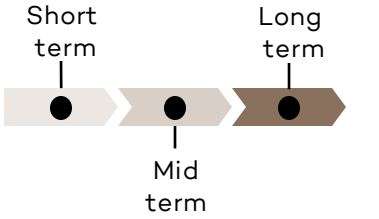
Approach

1. Develop a clear tax policy
2. Ensure accurate & consistent tax reporting
3. Disclose tax information transparently
4. Conduct regular audits and compliance checks
5. Engage stakeholders

KPIs

Value Creation		Sustainability		Resilience	
	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM	X	CoC adherence		Safety stock
	CTG	X	Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



Value Creation | X Sustainability | Resilience

ESG- Governance | Promote board diversity

Definition

Building a governance structure that **includes a wide range of perspectives, backgrounds, skills, and experiences within the board of directors**. This lever focuses on promoting diversity across attributes such as gender, ethnicity, age, nationality, professional expertise, and industry experience to foster more innovative, well-rounded decision-making.

Example

A company implements a board diversity policy, ensuring cultural representation and industry experience to drive inclusive decision-making on sustainability initiatives.

Measures / Tools / Activities

- ✓ Set diversity goals
- ✓ Set diversity quotas
- ✓ Create diverse candidate pipeline
- ✓ Establish a diversity oversight committee
- ✓ Establish inclusive recruiting practices
- ✓ Leverage mentorship
- ✓ Report on diversity

Impact / Potential

- ✓ Avoidance of risks in terms of criminal law / fines, loss of reputation
- ✓ Increased of investment interest due to better representation
- ✓ Improvement of external image

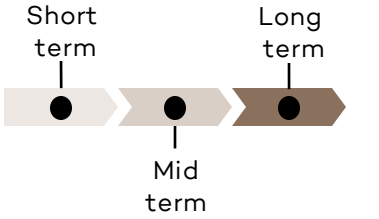
Approach

1. Assess current management composition
2. Establish diversity goals
3. Implement inclusive recruitment and selection practices
4. Foster and inclusive board culture
5. Monitor progress

KPIs

Value Creation	Sustainability	Resilience
PPC	CO2e	OTIF
MCP	Circularity rating	Avg. Lead Time
VAM	X CoC adherence	Safety stock
CTG	X Supplier risk score	% Single-source spend
ANR		

Implementation timeline



Value Creation | X Sustainability | Resilience

ESG- Governance | Implement fair and transparent executive pay practices

Definition

Establishing compensation structures for executives that are equitable, performance-based, and clearly communicated to stakeholders. This lever focuses on **aligning executive pay with the organization's long-term goals and values**, ensuring that compensation is tied to measurable performance metrics and competitive benchmarks. Transparency involves openly disclosing executive compensation policies, criteria, and pay packages in annual reports or other public filings, building trust with shareholders and employees.

Example

A manufacturer links executive bonuses to CO_2 emissions reduction targets, ensuring leadership incentives align with sustainability goals and long-term business performance.

Measures / Tools / Activities

- ✓ Link pay to long term performance
- ✓ Disclose pay ratio
- ✓ Adopt responsible compensation practices
- ✓ Establish pay caps
- ✓ Align pay to ESG performance/sustainability KPIs
- ✓ Ensure transparency with disclosure
- ✓ Implement claw back provisions
- ✓ Monitor and review pay practices

Impact / Potential

- ✓ Improvement of ESG performance metrics
- ✓ Increased of investment interest due to higher credibility
- ✓ Improvement of external image

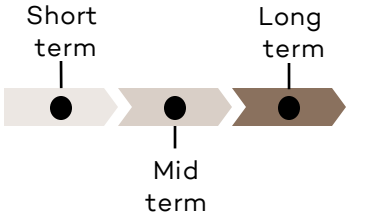
Approach

1. Establish clear compensation policies and principles
2. Set performance-based compensation criteria
3. Conduct regular benchmarking and pay reviews
4. Ensure transparent disclosure of executive payments
5. Monitor and adjust for fairness

KPIs

Value Creation		Sustainability		Resilience	
	PPC		CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM	X	CoC adherence		Safety stock
	CTG	X	Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



Value Creation | X Sustainability | Resilience

ESG- Governance | Adhere to responsible sourcing practices (conflict minerals, LkSG, CSDDD)

Definition

Ensuring that materials and products are obtained through ethical and sustainable supply chains, in compliance with laws and standards like the EU Conflict Minerals Regulation, the German Supply Chain Due Diligence Act (LkSG), EU Deforestation Regulation (EUDR), Carbon Border Adjustment Mechanism (CBAM), and the EU Corporate Sustainability Due Diligence Directive (CSDDD). This lever focuses on avoiding suppliers associated with human rights abuses, environmental harm, or conflict zones.

Example

A manufacturer requests CMRTs (conflict mineral reporting templates) from its tin, tungsten, tantalum, and gold (3TG) suppliers to ensure compliance with the Conflict Minerals Regulation, helping reduce the risk of sourcing minerals linked to human rights abuses.

Measures / Tools / Activities

- ✓ Establish Sustainability reports
- ✓ Establish conflict minerals reporting templates
- ✓ Map the supply chain
- ✓ Establish product passports
- ✓ Establish risk monitoring via digital tools
- ✓ Conduct supplier engagement/training
- ✓ Conduct supplier audits

Impact / Potential

- ✓ Avoidance of risks in terms of criminal law / fines, loss of reputation
- ✓ Avoidance of extra fees related to some of the regulations

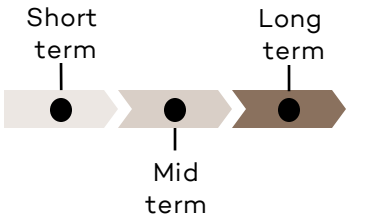
Approach

1. Develop a responsible sourcing policy
2. Conduct supply chain due diligence
3. Engage and educate suppliers
4. Monitor compliance and implement corrective actions
5. Report and communicate progress

KPIs

Value Creation		Sustainability		Resilience	
	PPC	X	CO2e		OTIF
	MCP		Circularity rating		Avg. Lead Time
	VAM	X	CoC adherence		Safety stock
	CTG	X	Supplier risk score		% Single-source spend
	ANR				

Implementation timeline



Value Creation | X Sustainability | Resilience

ESG- Governance | Promote responsible/ sustainable Investment

Definition

Prioritizing **investments that generate positive social and environmental impact alongside financial returns**. This lever focuses on directing capital toward businesses and projects that align with Environmental, Social, and Governance (ESG) criteria, such as renewable energy, ethical labor practices, or resource conservation. Responsible investment practices involve assessing the sustainability of potential investments, actively engaging with investees to improve ESG performance, and avoiding sectors that harm society or the environment.

Example

A global company allocates venture capital to startups developing energy efficiency solutions, fostering innovation in green technology.

Measures / Tools / Activities

- ✓ Establish a sustainable investment policy
- ✓ Integrate ESG criteria into investment analysis
- ✓ Perform active shareholder advocacy
- ✓ Screen investments for ESG performance
- ✓ Establish metrics and reporting frameworks
- ✓ Join industry initiatives (sustainably investment bodies and partners)
- ✓ Integrate Sustainable Investing Across Asset Classes (e.g., real estate, alternative investments; Private Equity)
- ✓ Evaluate resilience to ESG challenges and disruptions

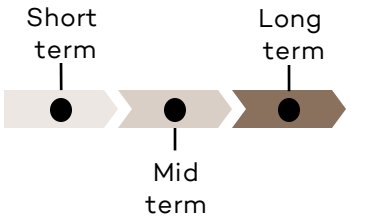
Impact / Potential

- ✓ Improvement of company branding and reputation
- ✓ Improvement of ESG ratings
- ✓ Eligibility for sustainability-linked loans from meeting ESG performance targets

Approach

1. Establish a responsible investment policy
2. Incorporate ESG criteria in investment decisions
3. Engage with investee companies on ESG performance
4. Monitor ESG performance and risks
5. Report and communicate

KPIs

Value Creation	Sustainability	Resilience
PPC	X CO2e	OTIF
MCP	X Circularity rating	Avg. Lead Time
VAM	CoC adherence	Safety stock
CTG	Supplier risk score	% Single-source spend
ANR		

Implementation timeline